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Integrated Fiduciary Systems Assessment

Tamil Nadu Climate Resilient Urban Development Program (P179189)

(Program-for-Results and Technical Assistance IPF)

INDIA:

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**Prepared by
The World Bank**

This document is an official use document and will be made public along with the PAD.

Currency table

INR 1 Lakh = INR 100,000 = INR Hundred Thousand

INR 10 Lakhs = INR 1 million

INR 100 Lakhs = INR 10 million = INR 1 Crore

1 US\$ = INR 82

1US\$ = JPY 150.6853333

1 JPY = 0.544 INR

1 INR = 1.8376 JPY

The IFSA uses US\$ through out the document for the ease of understanding. As the client has requested for loan in Japanese Yen, it is used only in those cases where these amounts correspond to legal documents to maintain consistency. Amounts in USD is equivalent to Indian Rupees in which the client undertakes the transactions.

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Acronyms

Acronyms	Expansion
AG(A&E)	Accountant General (Accounts & Entitlement)
ACG	Anti-Corruption Guidelines
ACS	Additional Chief Secretary
ADB	Asian Development Bank
AMRUT	Atal Mission for Rejuvenation and Urban Transformation
C&AG	Comptroller and Auditor General
CAAA	Controller Aid, Accounts and Audits
CMA/DMA	Commissionerate/Directorate of Municipal Administration
CS	Chief Secretary
CSS	Centrally Sponsored Scheme
CVC	Central Vigilance Commission
DBO	Design Build Operate
DDO	Drawing and Disbursement Officer
DEA	Department of Economic Affairs
DLI	Disbursement Linked Indicator
DLR	Disbursement Linked Results
DPR	Detailed Project Report
DVAC	Directorate of Vigilance and Anti-Corruption
EAP	Externally Aided Project
EO	Executive Officer
FD	Fiscal Deficit
FM	Financial Management
GO	Government Order
GoI	Government of India
GoTN	Government of Tamil Nadu
GSDP	Gross State Domestic Product
HOD	Head of Department
HPC	High Powered Committee
IA	Implementing Agency
IAS	Indian Administrative Service
IBRD	International Bank for Reconstruction and Development
IFSA	Integrated Fiduciary Systems Assessment
IFHRMS	Integrated Financial and Human Resource Management System
IPF	Investment Project Financing
IUFR	Interim Unaudited Financial Report
IVA	Independent Verification Agent
JICA	Japan International Cooperation Agency
JPY	Japanese Yen
KFW	Kreditanstalt für Wiederaufbau
KPI	Key Performance Indicator

Acronyms	Expansion
MAWSD	Municipal Administration and Water Supply Department
MD	Managing Director
MIS	Management Information System
MTFP	Medium Term Fiscal Plan
OSR	Own-Source Revenue
PD A/c	Personal Deposit Account
PAD	Project Appraisal Document
PAP	Program Action Plan
PFM	Public Financial Management
PforR	Program for Results
PMU	Project Management Unit
PPP	Public-Private Partnership
PSC	Program Steering Committee
RD	Revenue Deficit
RFQ	Request for Quotation
RTI	Right to Information
STD	Standard Tender Document
SBM	Swachh Bharat Mission
SFC	State Finance Corporation
SLNA	State Level Nodal Agency
TA	Technical Assistance
TNTTA/R	Tamil Nadu Transparency in Tenders Act/Rules
TNCRUDP	Tamil Nadu Climate Resilient Urban Development Program
TNUIFSL	Tamil Nadu Urban Infrastructure Financial Services Limited
TNSUDP	Tamil Nadu Sustainable Urban Development Program
TTL	Task Team Leader
TUFIDCO	Tamil Nadu Urban Finance and Infrastructure Development Corporation Limited
TWAD	Tamil Nadu Water Supply and Drainage Board
ULB	Urban Local Body
VE	Vigilance Entity
WSS	Water Supply and Sanitation

Section 1. Integrated Fiduciary Systems Assessment (IFSA)

1.1 Fiduciary Risk Assessment – Conclusion

1. ***An Integrated Fiduciary Systems Assessment (IFSA) of the key selected implementing agencies has been carried out in accordance with Bank Policy and Directive for Program for Results (PforR) financing.*** This is a multi-sector (Urban Sector, Water Sector, and Governance Sector) and multi-agency program. The key implementing agencies are: Commissionerate/Directorate of Municipal Administration¹ (CMA/DMA) which is a directorate under the Municipal Administration and Water Supply Department (MAWSD) and is a core government department, Tamil Nadu Urban Infrastructure Financial Services Limited (TNUIFSL) which is a state government company, and 21 Urban Local Bodies² (ULBs) which are part of the third level of government as per the constitutional framework of the country.
2. ***The IFSA assess whether the fiduciary system and performance of the Program's fiduciary system are adequate and provides reasonable assurance that the funds would be used for the intended purposes with due attention to the principles of economy, efficiency, effectiveness, transparency, and accountability.*** The IFSA is prepared based on the meetings and data/details provided by the officials of Implementing Agencies (IA). The review relies upon documents and data provided by the IA regarding their fiduciary processes and performance in past and upon the Bank's past project experience and understanding of the Financial Management (FM) and Procurement systems at the State level.
3. ***IFSA is covering both the state level agencies and ULBs involved in the program on a sample basis.*** 3 ULBs namely Avadi, Salem, and Kanchipuram was selected as representative sample as all ULBs follow the same FM system and procurement system. These 2 ULBs were selected as they were among the ULBs who are expected to implement large sub projects and receive large portion of funding from this Program.
4. ***Based on the IFSA, given the experience of the main implementing agencies DMA and TNUFISL, the combined fiduciary risk is rated as "Moderate".*** The risk at ULB level is higher due to varying capacity, and first time implementation of PFR. There is an inherent risk associated with variations in fiduciary capacity, compliance to agreed FM and procurement processes at ULB level. To mitigate fiduciary risk and strengthen the existing systems, various actions are recommended to be completed during preparation and implementation as Program Action Plan (PAP). With the implementation of recommended mitigation measures and system strengthening actions, during the program implementation, the capacity and performance of the Program implementing agencies is considered adequate to provide reasonable assurance that the financing proceeds would be used for the intended purposes, with due attention to the principles of economy, efficiency, effectiveness, transparency, and accountability. If any significant events and issues come

¹ Commissionerate or Directorate both refer to same office and is dependent on the incumbent who heads the organisation.

² List of six ULBs with more than 400,000 population (Salem, Tambaram, Tiruchirappalli, Tirunelveli, Vellore, and Erode) and List of fifteen ULBs with less than 400,000 population (Avadi, Kancheepuram, Thoothkudi, Cuddalore, Dindigul, Nagercoil, Dharmapuri, Karaikudi, Krishnagiri, Namakkal, Pudukottai, Rajapalayam, Theni-Allinagaram, Tiruvannamalai and Tiruvarur).

to the knowledge during the program implementation, additional appropriate mitigation measures shall be put in place in consultation with the agencies.

5. ***Government of Tamil Nadu (GoTN) has a good procurement and financial management (FM) framework which all implementing agencies follow.*** GoTN follows the Tamil Nadu Transparency in Tenders Act ,1998 (TNTTA; the Tamil Nadu Transparency in Tenders Rules, 2000; and the Tamil Nadu Transparency in tenders (PPP procurement) Rules 2012 that broadly meets the core procurement principles. FM arrangements in the state are guided by The Tamil Nadu Finance Code Volume I and II, The Tamil Nadu Accounts Code Volume I and II, The Tamil Nadu Treasury Code Volume I and II, The Tamil Nadu Budget Manual Volume I and II, Tamil Nadu Public Works Department (PWD) Code and time to time government orders, are reasonably well established and followed. The existing governance and accountability arrangements include audits by the Comptroller and Auditor General (C&AG) of India, review of audit reports by Public Accounts Committee, Right to Information (RTI) Act 2005, and Central Vigilance Commission (CVC) Act 2003. The State departments and government agencies have clearly defined delegation of authority. Parastatals also have a clear delegation of powers, financial rules and regulations which are followed.

1.2 Scope of IFSA

6. ***The IFSA covered the Bank Program and assessment of agencies and covered the following key areas and sub areas:***
- (a) ***Procurement arrangements:*** Regulatory Framework; Procurement Planning; Staffing; e-procurement system, capacity of bidders and staff at the line agencies; Standard procurement processes and procedures; standard bidding document; value of procurement handled; availability of competition; Existence of complaint handling and resolution system; Procurement performance; Existence of management information system (MIS); internal controls mechanism; Procurement documentation, review, and audit.
- (b) ***Public Financial Management:***
- *Planning and Budgeting:* Budget Vs Expenditure; Budget utilization; Transparency.
 - *Fund Flow:* Fund Flow Mechanism; Process of receipt of fund; Utilization certificates; Delegation of authority; Fund Management; Timeliness of utilization of funds.
 - *Accounting, financial reporting and internal control:* Process of compiling accounts and preparing Financial Statements; Accounting system being used; Current staffing structure including minimum qualification required; Adequacy and capacity of staff; Responsibilities of accounts department; Time lag in preparation of Financial Statement; Existence of segregation of duty; Existence of Fixed Asset Register and physical verification of assets; Record keeping.
 - *Audit-Internal and External:* Entities responsible for auditing line agencies; Existence of internal audit cell; Resolution of audit observations; Time lag in conducting audit.

- (c) **Governance and Accountability:** Vigilance function at entity level; Vigilance for the State of Tamil Nadu; Organization structure of Vigilance Entity (VE); Functions of VE; Types of complaints that can be registered at VE; Mode of complaints; Annual data of investigation undertaken; Duties of agencies w.r.t fraud and corruption; and Awareness about the VE.

1.3 Key risks and mitigation measures

7. **Table 1 outlines the key risks and mitigation measures for the Program:**

Table 1: Risk and mitigation measures

S. No.	Risks	Action Description	Document	Responsibility	Timing	Completion Measurement
1.	Government does not fund the Program	Create budget heads. Government Order (G.O.) issued	Readiness condition PAP	GoTN	Before negotiations Within four months of effectiveness	Budget head created.
2.	Insufficient Staffing (number and capacity building) may hamper the progress	Strengthen staffing and fiduciary capacity of the PMU and PIUs	Legal	DMA,TNUIFSL	Within six months from effectiveness	Adequate number of Staff appointed and trained
3.	Program Audit reports not disclosed to public	Disclose the Program audit report	Legal	DMA,TNUIFSL	Every year within nine months of end of FY	Audit report completed and displayed on the website
4.	Auditor not appointed and delay in submission of audit report	Appoint External auditor for the Program and include the review of procurement related aspects	PAP	DMA,TNUIFSL	Within six months from effectiveness	Auditor appointed and report submitted
5.	Contracts may be issued for more than high value threshold or	Monitor high value contracts and screen the contracts for Bank's debarment list before initiation of	Legal	DMA,TNUIFSL in consultation with ULBs	Within six months from effectiveness and semi-annually	Utilize appropriate monitoring tools covering the entire procurement

S. No.	Risks	Action Description	Document	Responsibility	Timing	Completion Measurement
	issued to debarred entities or individuals by the World Bank	procurement and awarding.				cycle and submit six monthly reports using the format in the POM
6.	No procurement plans prepared leading to disconnect with budget and Annual Work plans, not using the KPIs for monitoring procurement cycle. IAs are seldom publishing the Contract award details in the public domain	Integrate the preparation of the Program Procurement Plan to the existing web-based MIS.	PAP	DMA and TNUIFSL, in consultation with ULBs	Within a year of effectiveness and disclose procurement information annually/when updated	PP preparation is integrated with the MIS, monitored through the KPIs (refer to following para for KPIs), and disclose the procurement information related to bidding and contract award on the IAs websites.
7.	Procurement, F&C, and other Program related fiduciary complaints not addressed on timely basis and not reported to Bank	Establish a Complaint Handling Mechanism (CHM) at agencies to manage Program related fiduciary complaints	PAP	DMA,TNUIFSL	Within three months from effectiveness and semi-annually	Establish a CHM and display the nodal officer for receiving the complaint on the official website. Submit Semi-annual reports using the formats provided in the POM
8.	Engineering manual	Develop detailed procurement	Reform	DMA	Within six months from	Detailed procurement

S. No.	Risks	Action Description	Document	Responsibility	Timing	Completion Measurement
	(2000) developed under TNUDP – It is being used	guidance as an Annex to the POM considering the changes in procurement and contracting approaches including life-cycle costing, DBO, PBC contractual arrangements, and guidance on climate-resilient and green procurement practices			effectiveness	guidance is developed as an Annex to the POM
9	No Standard Tender Documents (STD) ³ available by following the TNTTA and TNTTR for DBO/PBC type of procurement and not updated the model tender document (item rate) for e-procurement	Develop the STDs for Design Build Operate (DBO) / Performance-Based Contracts (PBC), besides updating the admeasurement / item-rate contract with e-procurement usage ready	PAP	DMA	Within six months from effectiveness	STDs for (DBO/PBC) are developed and e-procurement ready; The item rate tender is updated and e-procurement ready; These STDs are adopted for Program Procurement and revised periodically

8. ***The above enlisted procurement & contract management related mitigation measures are to strengthen procurement and contract management at DMA, TNUIFSL, and participating ULBs.*** Details will be further elaborated in the Program Operation Manual, which is legal covenant for the Program. The IAs have been implementing the projects financed by the World Bank and other multilateral, including the projects financed

³ A DLR action in the PforR Operation Chennai City Partnership: Sustainable Urban Services Program (P175221) IAs are advised to check with TNIDB, adopt the STDs that suit to the Program's contractual practices and develop the remaining STDs

by the government. In the TNSUDP, three ULBs implemented IPF with PBC on a pilot basis. Through this program, implementing this PAP actions in timely manner, providing detailed procurement guidance (Annex in the POM) to the IAs, and imparting need-based training to staff periodically, will help the participating ULBs to articulate the PforR financing instrument with ease and enhance the efficacy of procurement management and the Program's outputs/outcomes within the overall guidance of the DMA and TNUIFSL.

1.4 Procurement Exclusions

9. ***The project envisages contracts in Goods, Civil Works, Consultancy, and non-Consultancy, of various values.*** Based on the assessment of Procurement Profile of the Program (described later in the document), it is confirmed that there are no high-value contracts in the Program at this stage. In accordance with the Program Procurement Risk rating as “**Moderate**”, the applicable thresholds⁴ across three procurement categories are:
- a) Works, including turnkey, supply & installation of plant and equipment, and PPP): US\$ 115 million
 - b) Goods, including Information Technology or Non-consulting Services: US\$ 75 million
 - c) Consulting Services: US\$ 30 million
10. ***The IAs shall submit report to the World Bank if any large contracts are envisaged throughout program implementation.*** Format will be annexed to the Program Operation Manual. In addition, the Bank will review the audit, the Program budget execution and contract management reports to identify any large-value contracts to ensure conformity with the Bank's policy on Program for Results (PforR).
11. ***At this stage, the interventions considered under the program boundary are described in Table 2 .*** The maximum cost estimate is US\$27.66 m, which is well below the OPRC threshold for Works procurement category.

Table 2: Details of DPRs with estimated cost and packages

S.No .	Name of the Project	Approved Project Cost in Crores	US\$ million (INR 82)	Capital Expenditure INR Crore (as per DPR)	Operational Expenditure/annual INR Crore (as per Detailed Project Reports)	Contracts in number	Contract wise Cost estimate (INR in crores)	US\$ m (US\$ = INR 82)
1	Salem UGSS	548.00	66.83	464.85	4.12	4	97.87	11.94
							117.15	14.29
							165.45	20.18
							167.53	20.43
2	Thoothukudi UGSS	152.14	18.55	118.74	1.93	1	118.74	14.48
3	Thiruvannamalai UGSS	97.67	11.91	88.74	1.73	2	77.03	9.39
							11.86	1.45

⁴ Based on the World Bank's Operations Procurement Review Committee.

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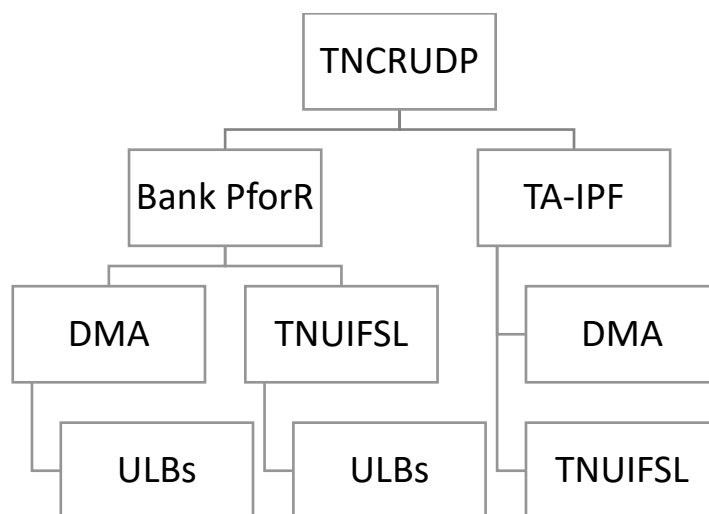
S.No .	Name of the Project	Approved Project Cost in Crores	US\$ million (INR 82)	Capital Expenditure INR Crore (as per DPR)	Operational Expenditure/annual INR Crore (as per Detailed Project Reports)	Contracts in number	Contract wise Cost estimate (INR in crores)	US\$ m (US\$ = INR 82)
4	Pudukottai UGSS	89.95	10.97	81.14	1.74	2	63.68	7.77
							18.11	2.21
5	Avadi UGSS	93.13	11.36	85.18	7.78	1	85.18	10.39
6	Kancheepuram UGSS	336.20	41.00	339.08	15.39	2	226.81	27.66
							61.62	7.51
7	Kancheepuram WSIS	248.62	30.32	298.60	6.69	2	149.52	18.23
							134.24	16.37

Section 2. Scope and Program Boundary

2.1 Implementation Arrangements

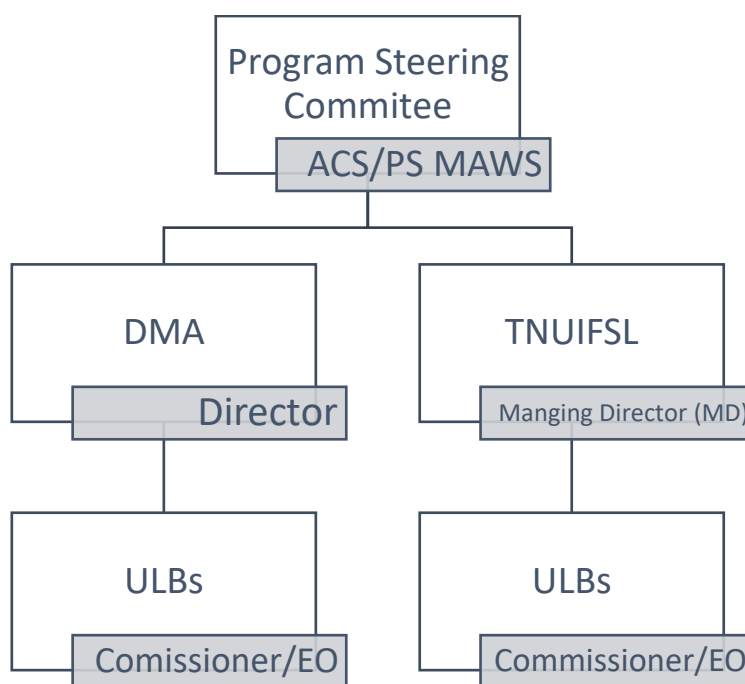
12. ***The Program's institutional framework will rely on the state's existing institutions that comprises a two-tier government system of state level and ULB level institutions.*** At the state level, the TNUIFSL and DMA will be the nodal implementing agencies. 21 ULBs will be implementing agencies at the ULB level. Refer Figure 1.
13. ***The DMA is responsible for implementing the urban governance improvement component of the Program.*** DMA will be responsible for coordinating and overseeing the achievement of Results Area 1 and will pass on the funds to ULBs as grants, upon achievement of the DLIs. DMA had previously functioned as the implementing agency for institutional capacity building activities under the World Bank supported urban development projects as well as other projects. It has also coordinated implementation of reforms at ULB and State level under AMRUT and SBM. It is also main implementing partner for SBM and in case of AMRUT, it passes on funds to TUFIDCO for onward transfers to the ULBs.
14. ***TNUIFSL will be responsible for Results Area 2 and will pass on the funds to ULBs as a mix of sub-loans and sub-grants as well as for achievement of DLIs.*** TNUIFSL / TNUDF has its own Board of Directors that oversees and approves sub-loans / sub-grants to ULBs as per their lending policies. TNUIFSL had previously functioned as the implementing agency for institutional capacity building activities as well as coordinating agency for sub investments done in the ULBs, under the World Bank supported urban development projects as well as other projects.
15. ***At the ULB level, Municipal Commissioners and Municipal Engineers will be responsible for implementing Program activities and achieving the required results, under the supervision and monitoring of state level agencies.***

Figure 1: PforR and IPF implementation structure



16. **Program Steering Committee (PSC):** A PSC chaired by Secretary of MAWSD with senior officials from the IAs and Department of Finance will be set up within four months from effectiveness for sanctioning and monitoring the Program and will meet twice a year or as required. Suitable orders will be issued.
17. **High Powered Committee (HPC):** An existing HPC headed by the Chief Secretary of GoTN will provide guidance on issues requiring inter-departmental coordination and policy direction for major infrastructure projects in WSS and Urban sectors including the Program. The committee is chaired by the Chief Secretary of the GoTN, and its members consist of the Secretary MAWSD, representatives from Finance Department, Water Resources Department, Energy Department, Environment, Climate Change and Forest Department, Revenue and Disaster Management Department, and representatives from the IAs. The committee will meet annually or as required.
18. **Program and TA implementation:** This project has both PforR Program and IPF for the TA component. PforR Program will be implemented by DMA, TNUIFSL, and ULBs. In case of IPF-TA component will be implemented only by DMA and TNUIFSL. Under the TA component of TNCRUDP, DMA and TNUIFSL would undertake envisaged procurement activities and other activities. Refer Figure 2.

Figure 2: Implementation arrangements



2.2 Program Boundary and Program Expenditure Framework

19. **The overall government program (“p”) is US\$2.18 billion (2,175 million) to be implemented over six years.**

The World Bank PforR Program (“P”) is proposed as US\$ 809.62 million, with US\$279 million from the International Bank for Reconstruction and Development (IBRD)-supported TNCRUDP, as per table given below. The Bank PforR Program (“P”) covers 37 percent of the overall government program (“p”). The World Bank (IBRD) will finance US\$279 million (or 34 percent) of the Bank PforR program (“P”) as per Table 3 below. GoI share is part of the AMRUT 2.0 and SBM 2.0 funding to the tune of US\$ 58 million which is 7.2 percent of the finance for Bank Program and the balance is funded by the GoTN. Detailed activity wise cost breakdown is provided in Table 4.

Table 3: Program Financing

Source	Amount (US\$, millions)	% of Total
Counterpart Funding	530.62	65.54%
- Government of India	58.14	7.18%
- Government of Tamil Nadu	472.48	58.36%
International Bank for Reconstruction and Development (IBRD)	279.00	34.46%
Total PforR Program financing (“P”)	809.62	100%

Figure 3: Government Program vs. Bank Program– “p” Vs “P” – (US\$ million)

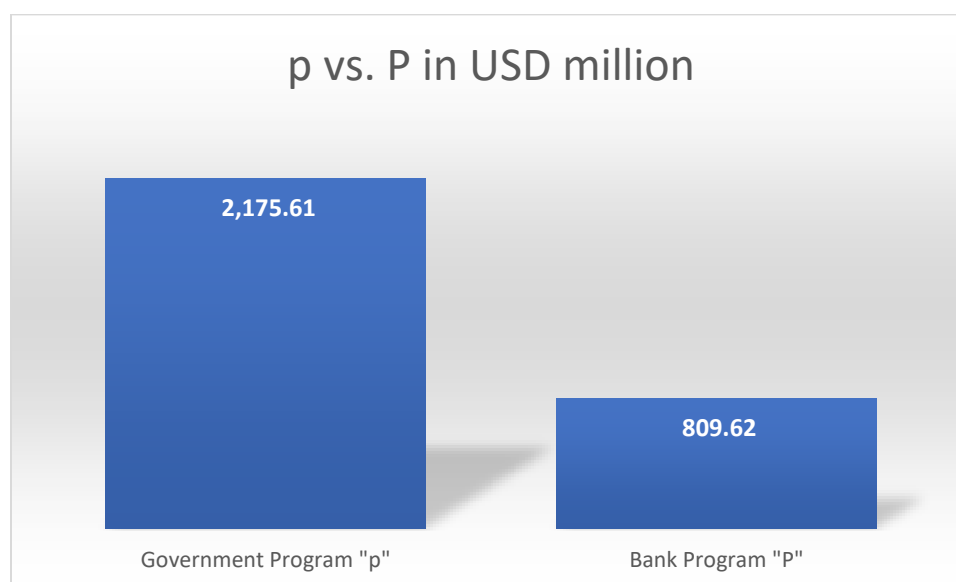
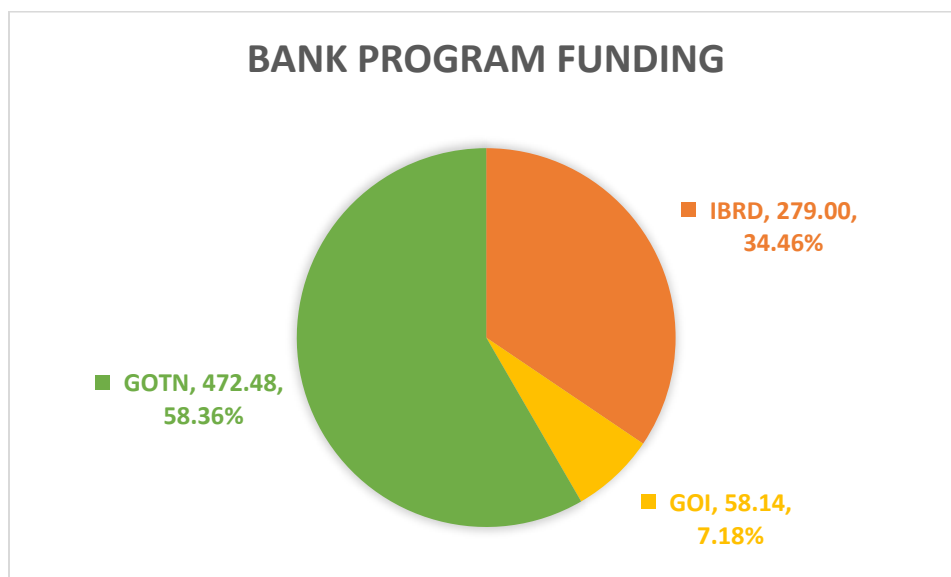


Figure 4: PforR Program – “P”- Sources of funding



20. **The PforR program has clear boundaries for the government program ('p') and the Bank Program ("P").** The government program has identified investments of US\$1166.45 million for both water and sewerage investments⁵ out of which selected investment costing to the tune of US\$ 356.87 million is funded by the Bank Program. Apart from that the government program and Bank Program are funding the salaries of the participating ULBs, Consultancy studies, goods and equipment's which will help the agencies in achieving the DLIs. The list of activities and the framework is given below in Table 4 and Table 5: PforR Program – Funding agency wise and Activity wise (US\$ million).

Table 4: Government Program versus PforR Program by Activity (US\$, million)

Activities	Bank PforR Program ('P')	Government program ('p')
Consultants, studies, goods, and equipment, and other expenses	30	30
ULBs institutional strengthening related cost including filling vacancy ⁶	388.50	944.92
Development of parks and investments in energy efficiency in municipal assets	34.24	34.24
Capital investments and O&M in water supply systems	84.46	195.34
Capital investments and O&M in sewerage systems	272.42	971.11
Total	809.62	2175.61

⁵ Majority of the investment have been approved by the Government and suitable Government orders have issued for these investments. Funding tie ups have also been identified for these investments.

⁶ Recurrent costs related to the ULBs staff salary will be mostly funded by the GoTN/ULBs.

Table 5: PforR Program – Funding agency wise and Activity wise (US\$ million)

Activities	Government program ('p')	Bank PforR Program ('P') ⁷			
		IBRD (@)	GOTN	GOI #	Total
Consultants, studies, goods, and equipment, and other expenses	30.00	30.00	-		30.00
ULBs institutional strengthening related cost including filling vacancy	944.92	19.88	368.62		388.50
Development of parks and investments in energy efficiency in municipal assets	34.24	34.24	-		34.24
Capital investments and O&M in water supply systems	195.34	43.90	25.36	15.20	84.46
Capital investments and O&M in sewerage systems	971.11	150.98	78.50	42.94	272.42
Total	2,175.61	279.00	472.48	58.14	809.62

@ This is indicative funding and is fungible across activities. World Bank will account for overall program expenditure up to US\$279 million. Expenditure except GOI share will be treated as part of the Program Expenditure.

GOI funding is to be received for capital investments only against SBM 2.0 and AMRUT 2.0 schemes

21. **Most of the Program activities are fully funded by the Bank or state.** In case of Capital investments GoI is funding some of the schemes through AMRUT and SBM and these schemes are clearly identified, and the funding is also clearly demarcated. The overall contribution of GoI for the Bank Program is 7.18 percent. Apart from the Bank Program GoI is also providing funds for the larger government program through AMRUT and SBM.

22. **The funding shown above is indicative and the expenditure will be reconciled on an overall basis for the Bank Program.** GoI will provide funds as a part of the ongoing AMRUT 2.0 and SBM 2.0 programs as per its guidelines. While the expenditure for the Bank Program will be reported on overall basis, at the time of reconciliation, expenditure incurred by GoTN/ULBs will only be considered and GOI expenditure will be excluded. Also, the expenditure against each activity is indicative and could be changed based on the actual implementation in the field. The overall funding provided by the Bank will be US\$279 million.

⁷ The World Bank's Anti-Corruption Guidelines (ACG) for PforR shall be applicable to all procurement activities under the **PforR Program**,

23. **Salary cost is majorly borne by the state.** In case of salaries, the entire cost of salaries of the participating ULBs along with the expected increase in cost due to inflation and addition of new staff has been taken as part of the program for six years. Salary is borne by the state and ULBs while salaries for new posts created to achieve the DLIs is expected to be funded as part of the program expenditure.

24. **The Program will be a combination of capital expenditure (capex) and operating expenses (opex) activities.**

The Program will finance procurement of goods, consultancy services, works, and other expenditure associated with the implementation units, related to the program. Operational and administrative expenditure will include salaries of incremental staff in ULBs, and general program expenses. Investments will be in civil works; contractual payment to consulting firms; and non-procurement activities like training, workshops, and Operational cost.

25. **The list of investments under the Bank Program is provided in Table 6:**

Table 6: Investments in PforR Program – Funding agency wise (US\$ million)

ULB Name	GOI	GOTN	IBRD	Total
Under Ground Sewerage System	42.94	78.50	150.98	272.42
Salem Corporation	22.05	20.05	24.73	66.83
Kanchipuram Corporation	-	11.79	27.51	39.30
Cuddalore Corporation	-	8.39	19.57	27.96
Dindugal Corporation	-	7.50	17.50	25.00
Namakkal Municipality	1.95	4.77	15.68	22.40
Thoothukudi Corporation	5.54	5.04	7.97	18.55
Thiruvannamalai Municipality	3.93	3.57	4.41	11.91
Avadi Corporation	3.75	3.41	4.20	11.36
Pudukottai Municipality	3.62	3.29	4.06	10.97
Theni Allinagaram Municipality	-	3.20	7.46	10.66
Dharmapuri Municipality	0.75	2.25	7.01	10.02
Krishnagiri Municipality	-	2.56	5.98	8.54
Thiruvavur Municipality	-	1.45	3.38	4.83
Karaikudi Municipality	1.35	1.23	1.52	4.10
Water Supply system	15.20	25.34	43.91	84.46
Kanchipuram Corporation	-	11.65	27.19	38.84
Nagercoil Corporation	2.46	2.21	2.70	7.37
Avadi Corporation	2.28	2.05	2.50	6.83
Pudukottai Municipality	1.82	1.64	2.00	5.45
Tiruchirappalli Corporation	1.41	1.27	1.55	4.22
Cuddalore Corporation	1.08	0.98	1.19	3.25
Tirunelveli Corporation	1.07	0.96	1.18	3.22
Rajapalyam Municipality	1.06	0.95	1.16	3.17

ULB Name	GOI	GoTN	IBRD	Total
Karaikudi Municipality	0.94	0.85	1.04	2.83
Erode Corporation	0.83	0.75	0.91	2.49
Tambaram Corporation	0.76	0.69	0.84	2.29
Thoothukudi Corporation	0.61	0.55	0.67	1.83
Vellore Corporation	0.52	0.47	0.57	1.55
Dindugal Corporation	0.37	0.33	0.40	1.10
Grand Total	58.14	103.84	194.89	356.87

2.3 TA Expenditure

26. ***Apart from PforR, the program has a TA for the tune of US\$ 30 million.*** The TA will be funded by the Bank to the tune of US\$20.25 million and the balance is funded by the GoTN. The activities majorly include the funding of consultancies, goods, operation costs, Independent Verification Agency (IVA) and audits which will be spent at the level of TNUIFSL and DMA office. Front end fees is capitalised and will be funded from IBRD.

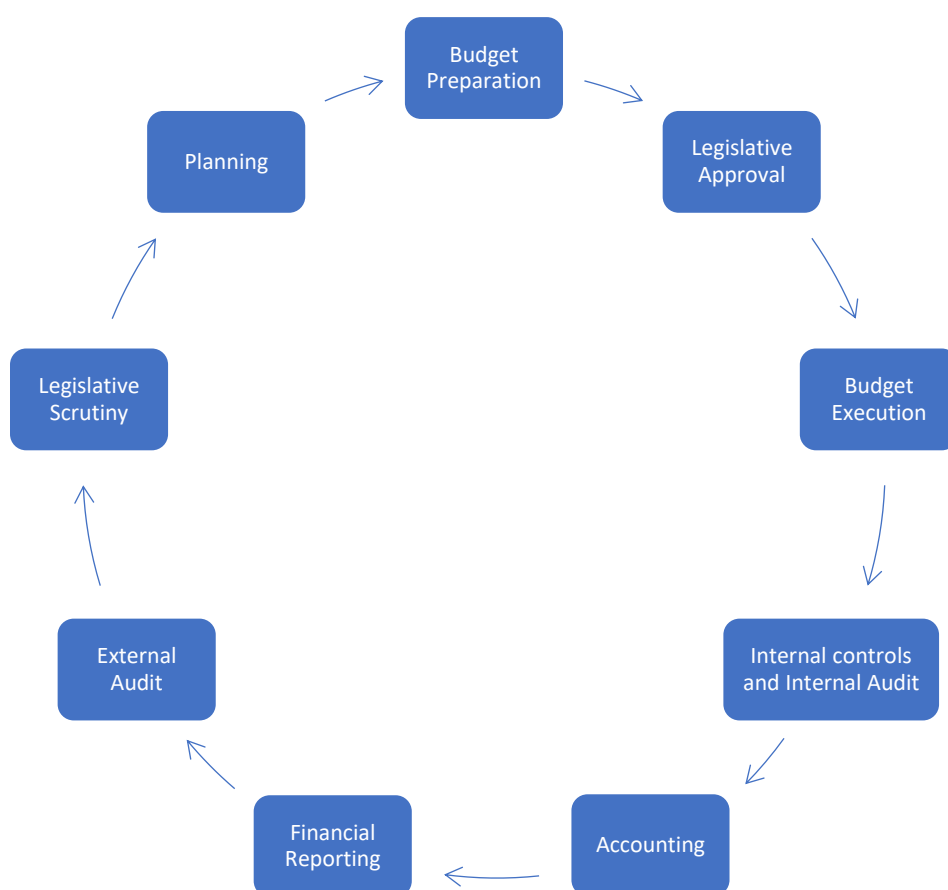
2.4 Result Areas and DLI

27. ***To achieve the Project Development Objective, an integrated approach is used, leveraging synergies across the Results Areas.*** The Disbursement of US\$ 279 million by the WB to GoTN will be linked to achievement of Disbursement Linked Indicators (DLIs). DLIs and result areas are provided in the Project Appraisal Document (PAD). Each year disbursement linked results along verification protocols is provided in the PAD.

Section 3. Review of Public Financial Management Systems

28. **Public Financial Management (PFM) encompasses both upstream and downstream functions.** Upstream functions include policy, planning and budgeting and downstream functions include – budget execution including procurement, internal controls, accounting, reporting and audit. The procurement cycle including contract management is embedded coherently within the PFM and contributes substantially to the efficacy of upstream and downstream functions. PFM cycle is represented in the figure given below. PFM is an ongoing process and needs to be reviewed from time to time and aligned to achieve the objectives. Refer Figure 5.

Figure 5: PFM CYCLE



3.1 Planning and Budgeting

3.1.1 Adequacy of budget:

3.1.1.1 Budget at state level

29. **The overall state budget has been increasing on a year-to-year basis.** For FY 21-22 the actual expenditure was US\$ 35.49 billion. As per FY22-23 budget the total expenditure is expected to be US\$ 39.9 billion. This PforR program funds less than 1 percent of the State budget every year over the next five years. Hence this PforR will not affect the state finances.

30. **The state has revenue deficit (RD) for a decade, and the deficit is increasing over the recent years and this trend is expected to continue as per the medium-term fiscal plan (MTFP) projections.** RD has increased sharply in FY 20-21 due to economic slowdown caused by COVID-19 which led to reduction in revenue as well as increase in expenditure to meet the needs of pandemic GoTN is expected to move into revenue surplus position from FY 25-26 as per the MTFP.

31. **GoTN has been having fiscal deficits (FD) ratio to GSDP higher than the mandated 3 percent in the last three years.** During the last 3 years FD has been more than 3 percent and as per MTFP it is expected to normalise from FY 24-25. Due to widening RD, FD is also getting affected and this issue has been raised by the AG in the audit report. The state overall liabilities including off-budget borrowings were above the allowed limit of 28 percent of GSDP in the last two years. Since increase in RD, and FD as well as loans have happened during the COVID years, the numbers in FY 22-23 needs to be reviewed once available to look at the trend post COVID. Refer Table 7 and Table 8.

Table 7: Snapshot of the State Finances (INR Crores)⁸

Particulars	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
GSDP (at current prices)	1,176,500	1,302,639	1,465,051	1,630,209	1,743,144	1,808,239	2,065,436
Total Revenue Receipts	129,008	140,231	146,280	173,741	174,526	174,076	207,492
Revenue Expenditure	140,993	153,195	167,874	197,201	210,435	236,402	254,030
Committed Expenditure	83,317	94,750	91,103	107,936	116,194	118,061	125,935
Capital Outlay Expenditure	18,995	20,709	20,203	24,311	25,632	33,067	37,011
Revenue Deficit (RD)	(11,985)	(12,964)	(21,594)	(23,460)	(35,909)	(62,326)	(46,538)

⁸ Based on data available in the AG reports, AG (A&E) reports, and Budget documents available in the FD website.

IFSA – Tamil Nadu Climate Resilient Urban Development Program (P179189)

Particulars	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
Revenue Deficit (RD)/GSDP %	1.02%	1.00%	1.47%	1.44%	2.06%	3.45%	2.25%
Fiscal Deficit (FD)	32,627	56,170	39,840	47,336	60,179	93,983	81,835
Fiscal Deficit (FD)/GSDP %	2.77%	4.31%	2.72%	2.90%	3.45%	5.20%	3.96%
Fiscal Liabilities/ GSDP %	18.96%	21.75%	22.29%	22.62%	24.31%	28.35%	28.87%
Total Expenditure outturn %	93.05%	93.21%	92.61%	99.77%	97.03%	97.15%	95.94%
Revenue outturn %	90.42%	94.64%	91.79%	98.58%	88.27%	79.35%	102.47%
Capital expenditure / total expenditure %	11.87%	11.91%	10.74%	10.98%	10.86%	12.27%	12.72%
Revenue expenditure outturn	96%	93%	96%	102%	99%	98%	97%
Capital expenditure outturn	77%	92%	73%	86%	82%	91%	88%

Table 8: State finances actual expenditure for seven years (INR Crores)

Particulars	2015-16 (A)	2016-17 (A)	2017-18 (A)	2018-19 (A)	2019-20 (A)	2020-21 (A)	2021-22 (A)
Revenue Expenditure	140,993	153,195	167,874	197,201	210,435	236,402	254,030
Capital outlay Expenditure	18,995	20,709	20,203	24,311	25,632	33,067	37,011
Total Expenditure	159,988	173,904	188,077	221,512	236,067	269,469	291,041
Revenue Surplus	-11,985	-12,964	-21,594	-23,460	-35,909	-62,326	-46,538
Revenue surplus/GSDP	1.02%	1.02%	1.47%	1.44%	2.06%	3.45%	2.25%
Fiscal Deficit (FD)/GSDP	2.77%	4.42%	2.72%	2.90%	3.45%	5.20%	3.96%
Total Expenditure in US\$ million	19,511	21,208	22,936	27,014	28,789	32,862	35,493

32. **States revenue expenditure outturn has been consistently over 90% which outlines better alignment between the budget and the actual expenditure.** Capital expenditure outturn has been varying around 77 percent which was 90 percent in the recent year. The share of capital expenditure on total expenditure has also been increasing over the years.

3.1.1.2 Sector level budget

33. ***The 2 key sectors involved in this program are the Municipal Administration and Urban Water supply and sanitation sector.*** Both these sectors are part of budget demand 34 of the GoTN budget under the MAWSD. 2215 budget head represent revenue expenditure and 4215 represents capital expenditure provided for water supply and sanitation sector. Budget head 2217 revenue expenditure and 4217 represents capital expenditure provides the budget and accounts details for the urban development where funds are routed through DMA office to the ULBs or other agencies. Apart from these heads other heads operated are 3604, which deals with compensation transferred to ULBs through DMA, 6215 head for loans for water supply, and 6217 loans for urban development.
34. ***We consider the revenue and capital expenditure budget head patterns to understand the sector funding.*** The expenditure under these heads are increasing consistently over the years. Also, all EAPs and CSS projects are funded through these heads. The overall expenditure (revenue and capital) under these heads based on actual expenditure amounts to US\$733 million per year which when compared to the program funds is on the higher side and hence the absorptive capacity for the Program is not an issue. Refer Table 9.

Table 9: Sector financing over the years (US\$ million)

Years	2215 WSS	2217 UD	4215 Capital WSS	4217 Capital UD	total
2015-16 (A)	30.4	43.8	194.8	194.3	463.17
2016-17 (A)	46.2	80.6	155.0	328.3	610.12
2017-18 (A)	38.0	55.0	97.4	239.1	429.63
2018-19 (A)	25.9	72.0	108.8	490.1	696.71
2019-20 (A)	31.3	143.9	167.2	346.3	688.78
2020-21 (A)	63.8	103.8	311.5	543.4	1,022.44
2021-22 (A)	44.3	113.3	186.3	880.1	1,224.06
2022-23 (BE)	45.0	308.3	240.0	762.9	1,356.24
2023-24 (BE)	36.7	248.2	680.2	453.4	1,418.54
Average	40.0	87.5	174.4	431.7	733.6

(A) = Actuals as per accounts (BE) Budget estimates as per Budget

35. ***While the budget outturn has been erratic in the earlier years it has stabilized in the later years.*** Also, the expenditure under these heads based on actual expenditure for capital expenditure on an average amount to US\$605 million per year which when compared to the program funds is on the higher side and hence the absorptive capacity for the Program is not an issue. Refer Table 10.

Table 10: Sector budget outturn and expenditure (US\$ million)

Years	Water Supply and sanitation Heads				Urban Development Heads			
	2215 - Revenue	Budget outturn	4215 – Capital	Budget outturn	2217- Revenue	Budget outturn	4217 – Capital	Budget outturn
2015-16	30.4		194.8		43.780		194.268	
2016-17	46.2	119%	155.0	93%	80.610	110%	328.293	88%
2017-18	38.0	98%	97.4	55%	55.000	50%	239.146	46%
2018-19	25.9	68%	108.8	55%	71.951	66%	490.122	88%
2019-20	31.3	77%	167.2	73%	143.902	79%	346.341	53%
2020-21	63.8	154%	311.5	118%	103.780	67%	543.415	78%
2021-22	44.3	100%	186.3	102%	113.279	72%	880.122	105%
2022-23 (BE)	45.0		240.0		308.293		762.927	
2023-24 (BE)	36.7		680.2		248.171		453.415	
Average	40.0		174.4		87.472		431.672	

3.1.1.3 Absorption capacity

36. **DMA office is one of the main implementing agencies.** DMA office is handling various projects and funds. The funds handled by DMA is increasing every year and mostly it is a pass through to ULBs and other agencies. DMA passes on the AMRUT funds to ULBs through TUFIDCO, SBM funds directly to ULBs, and other funds to ULBs based on state schemes. DMA also carries out the devolution of funds for ULBs for the SFC grants. On an average as per budget estimates, the DMA handles US\$1618 million and hence this program would not affect the capacity of the DMA office. Refer Table 11.

Table 11: Funds handled by DMA as per budget in past six years

DMA	INR Crores				US\$ million
	Revenue expenditure	Capital expenditure	Loans	Total	
2017-18	5,647	4,239	261	10,147	1,237
2018-19	6,279	4,592	500	11,371	1,387
2019-20	7,714	5,395	515	13,624	1,661
2020-21	7,695	5,743	553	13,991	1,706
2021-22	6,941	5,644	540	13,125	1,601
2022-23	8,836	6,256	475	15,567	1,898
2023-24	10,597	3,718	718	15,033	1,833
Average	7,673	5,084	509	13,265	1,618

37. **TNUIFSL handles many funds, externally aided projects, and schemes.** Currently as Fund Manager, it manages TNUDF, and other 5 funds apart from EAP with ADB, KFW, JICA and the World Bank. The net loan balance with

ULBs as on 31-03-2022 is INR 3000.07 crores. During 21-22 a sum of INR 348.79 crores has been borrowed from EAPs. Refer Table 12 and Table 13.

Table 12: EAP Loans balance of TNUDF as on 31/3/22

Particulars	Amount in Crores	US\$ million
Loan balance as on 1/4/2021	3259.62	397.51
Loans Borrowed during the year	348.79	42.54
Loans repaid to Government	90.58	11.05
Loan balance as on 31/3/22	3517.83	429.00

Table 13: List of EAP Loans taken as on 31/3/22

Loans under EAP	Loan Size	Loan availed	US\$ million
World Bank TNUDF II	27.58	27.58	3.36
World Bank TNUDF III	462.20	462.20	56.37
World Bank TNSUDP	1390.84	1285.04	156.71
JICA - TNUIP	258.36	258.36	31.51
KFW-SMIF-TN-I	314.28	314.28	38.33
KFW-SMIF-TN-II-1	349.36	349.36	42.60
KFW-SMIF-TN-II-2	410.86	380.51	46.40
ADB-TNUFIP-1	304.78	218.50	26.65
ADB-TNUFIP-2	487.01	222.00	27.07
Total	4005.27	3517.83	429.00

38. ***The entire debt service (principal and interest) dues of 404.66 crores from the ULBs for the financial year 2021-22 have been collected and has achieved record 100 percent collection efficiency continuously for the past seventeen financial years.*** The total assets as on 31.3.22 was INR 3,991 crores (US\$ 486 million) and net worth was INR 300 crores (US\$ 36.5 million).
39. ***In the past five years TNUIFSL has provided loans worth INR 1,682 crores (US\$ 205 million) with an average loan disbursement of US\$ 41 million per year.*** Based on these numbers this program would not affect the capacity of TNUIFSL to disburse loans. Refer Table 14.

Table 14: Loans sanctioned and disbursed by TNUIFSL in last 10 years

Year	Loan Sanctions (INR Crores)	Loans disbursement (INR Crores)	Loans Disbursement US\$ million
31.3.2013	342.21	257.68	31.42
31.3.2014	773.34	566.19	69.05
31.3.2015	89.07	311.79	38.02
31.3.2016	1038.76	145.84	17.79
31.3.2017	236.96	359.18	43.80
31.3.2018	105.17	441.75	53.87
31.3.2019	441.08	376.73	45.94
31.3.2020	487.01	213.76	26.07
31.3.2021	281.59	435.19	53.07
31.3.2022	52.31	215.4	26.27
Grand Total	3847.5	3323.51	405.31
Total for last 5 years	1367.16	1682.83	205
Average for last 5 years	273.43	336.57	41.04

40. The Bank Program is supplemented by funds from centrally sponsored schemes (CSS) and state schemes.

CSS like AMRUT 2.0 and SBM 2.0 are recent programs which started in FY 22-23 while AMRUT and SBM were funding in earlier years. State schemes like Capital Grant Fund was started in FY 17-18 while NNT (Nammuku Namme Thittam) and KNMT (Kalaingar Nagar Pura Membatu Thittam) was started in FY 22-23. The expenditure under these schemes are increasing gradually even though it was impacted during COVID. Expenditure in case of AMRUT for FY 21-22 is USD 27.5 million while under SBM it was 5.29 million. Funds under these programs are not an issue as these are milestone based and once the milestone is achieved both centre and state release the funds. In case of state funds like CGF the expenditure in 21-22 was USD 8.78 million while for the other two schemes it was US\$ 1.83 million and 12.2 million. In FY 21-22 a total amount of US\$ 55.59 million was spent and based on budget similar or higher expenditure is expected. This PforR is a part of the envisaged government spending and will not affect the finances. Refer Table 15.

Table 15: Various schemes funding in US\$ Million

	AMRUT			SBM			CGF			NNT			KNMT			Total	
	B	A	O	B	A	O	B	A	O	B	A	O	B	A	O	B	A
2016-17	6.10	7.63	125%	2.44	4.58	188%	-	-	0%							8.54	12.21
2017-18	17.07	9.47	55%	7.32	3.00	41%	7.04	6.91	98%							31.43	19.38
2018-19	14.63	14.21	97%	6.27	3.66	58%	8.05	8.05	100%							28.95	25.92
2019-20	17.68	0.97	6%	14.04	10.95	78%	8.97	8.26	92%							40.69	20.18
2020-21	17.68	11.54	65%	9.76	4.33	44%	9.21	7.37	80%							36.65	23.24
2021-22	17.68	27.49	155%	10.24	5.29	52%	8.02	8.78	110%	3.66	1.83	50%	12.20	12.20	100%	51.80	55.59
2022-23	25.98	-		25.54	-		10.04	-		2.44	-		12.20	-		76.19	-
2023-24	7.47	-		15.85	-		6.71	-		2.44	-		12.20	-		44.66	-

B= Budget A= actuals O= outturn percentage which is actual expenditure/budget

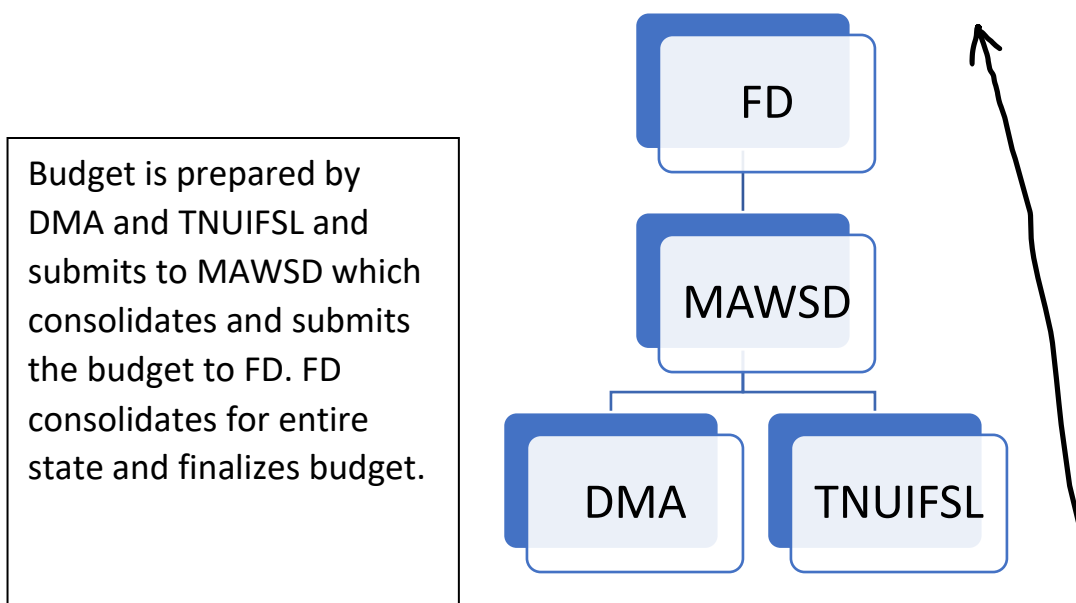
3.1.2 Planning and Budget Preparation

41. ***The GoTN has an established budget preparation process that is guided by Budget Manual.*** The Administrative Department prepares a budget that includes the budget estimate (BE) for the current year and advance estimate for the next two fiscal years and these detailed budget proposals, are submitted to the Budget Division in the Finance Department. The revised estimate for the ongoing fiscal year is also submitted along with the BE of the ensuing year. The final agreed budget allocations are presented in the state annual budget and are approved by the Assembly in February/March.
42. ***Each IA should prepare an annual work plan and based on that prepare the budget requirements for that year.*** The budget requirements of the Program should be intimated to the administrative department as per the state budget schedule so that the requirements can be incorporated in the state budget.
43. ***DMA and TNUIFSL should prepare an annual work plan and based on that prepare the program budget requirements.*** They should submit the budget requirements to MAWSD as per the state budget schedule so that these figures can be incorporated in the state budget. MAWSD will consolidate the budget estimate (BE) for the current year and submit to the Budget Division in the Finance Department. The final agreed budget allocations are presented in the state annual budget and are approved by the Assembly in February/March. Refer Figure 6 and Figure 7.
44. ***The agencies must prepare an annual procurement plan aligned with the annual work plan and budgeting for better planning.*** In state of Tamil Nadu, Tamil Nadu Transparency in Tenders Act 1998 requires that (a) The Government or the procuring entity, may, by order, appoint an officer under its control as Tender Inviting Authority for carrying out the functions assigned to it under the Tender Act; (b) The Government or the procuring entity, may, by order, appoint an officer or a committee consisting of such number of officers as may be prescribed as Tender Accepting Authority for carrying out the functions assigned to it under this Act. The procurement activities will be initiated after the Administrative and Technical sanction, based on the delegation of financial powers. However, there are no specific provisions related to procurement planning in the above-mentioned Act or Rules. Hence, the IAs do not maintain the procurement schedule (date of initiation, award, and completion) linked with the Budget and annual workplan (procurement plan) and utilise

this data for reviewing and monitoring of high value key contracts, which are often procured at the state level and implemented by ULBs. The procurement plan is also useful in strategizing the inter-dependent procurement activities and computing helpful key procurement performance indicators.

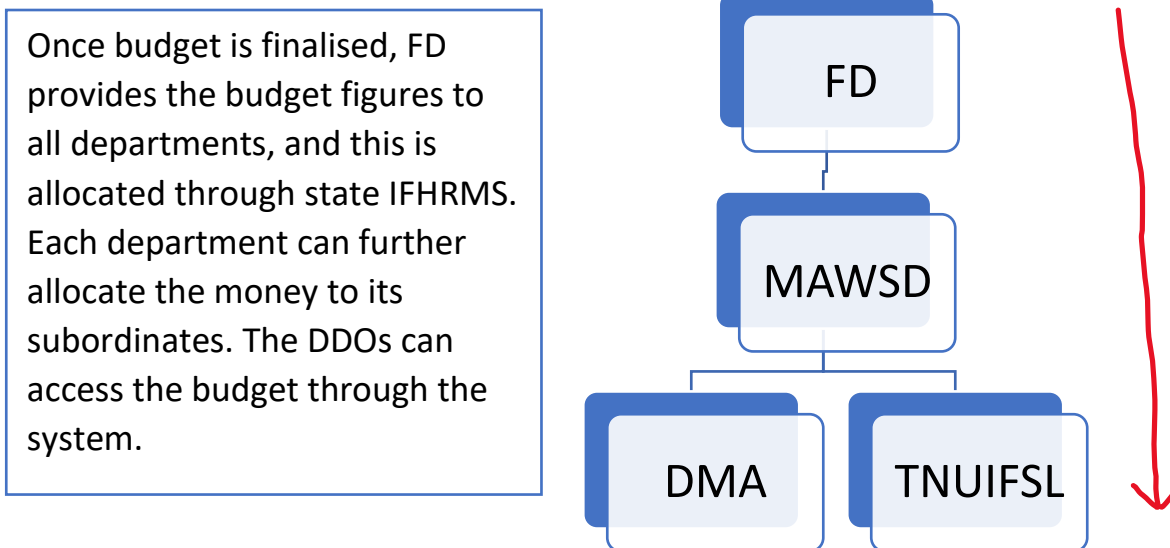
45. **DMA, and TNUIFSL should prepare the Procurement Plan, and link each of activities with envisaged Result areas, DLIs, and Program Results.** For each of the approved DPR, identify procurement activities, and prepare the procurement packaging and activity-wise schedule (date of initiation, award, and completion). The IAs requires to strengthen the existing monitoring mechanism by including the tendering (procurement) plan in the existing web-based MIS that helps the IAs connect the scheme approval stage⁹ with the contract monitoring (physical and financial progress) stage. This bridging will help IAs review and monitor the tendering stage. Link these activities with Program’s outputs/outcomes (DLRs/PAP/Result Indictors) duly considering the procurement turnaround time and completion period. This comprehensive planning will help the IAs to achieve the intended outcomes and outputs. Besides, these planning details can be utilised as a review & monitoring tool. Action: The IAs are to regularly disclose the procurement information related to the bidding and contract award details on the official website and e-procurement portal.

Figure 6: Budget preparation process – Bottom-up approach



⁹ After approval of budget proposals and budget, IAs sanctions Administrative Sanction (AS) & Technical Sanction (TS)

Figure 7: Budget allocation process – Top-down approach



46. **The state should provide budget for the entire program in their annual budget based on the annual work plan.** The state will prefund the entire program expenditure during the Program life, disbursements from the Loan will be made based on successful completion of DLI and verification by IVA.
47. **Separate EAP budget heads one head for DMA (budget head to be created) and one head for TNUIFSL (budget head already created) needs to be created for the Program for accessing the funds.** Once the budget is approved by the state, then the budget is available to the agencies.
48. **All budget documents are displayed in the public domain through the State Finance Department website¹⁰ in both English and Tamil.** The following documents are displayed on the website:
 - a. Budget Speech
 - b. Budget Publications – Demand wise publications
 - c. Budget Highlights
 - d. Annual Financial Statements
 - e. MTFP
 - f. Budget Memorandum
 - g. Loans and advances, public debt, and public account details
 - h. Appropriation Accounts
 - i. Finance Accounts
 - j. Citizen budget

¹⁰ <https://financedept.tn.gov.in/en/>

49. **The following are the actions to be done:**

- a. Pass GO for the Program
- b. Create budget heads for the Program.
- c. Prepare annual work plan and annual procurement plan for the Program,

3.1.3 Procurement profile of the Program

50. ***In accordance with the definition of Program Expenditure Framework, PforR Program's Result areas (1 and 2) encompasses procurement activities at each of the sub-project proposal, mainly the water supply and sanitation work.*** Most of these activities using the life-cycle costing (Capital and operational expenditure), key performance indicators, and energy saving initiatives. These contracting approaches falls in the domain of Green / Climate resilient public procurement. Based on the learnings and implementation experience, the GoTN may append a guidance for ULBs on the Green / Climate Resilient / Sustainable public procurement guidelines and compendium of best practices to the detailed procurement guidance in the Annex of the PoM in the second year of the Program.

3.2 Budget Execution

3.2.1 Fund Flow

51. ***For budget execution and fund flow the existing system will be followed.*** GOTN has implemented a comprehensive Integrated Finance and Human Resource Management System (IFHRMS) across the state departments. Once the budget is approved, the budget figures are posted on the IFHRMS head wise and the Head of Departments have the right to further allocate the funds to officers in the chain of command based on budget requirement. All payments and accounts done by the core departments are maintained in the IFHRMS system.

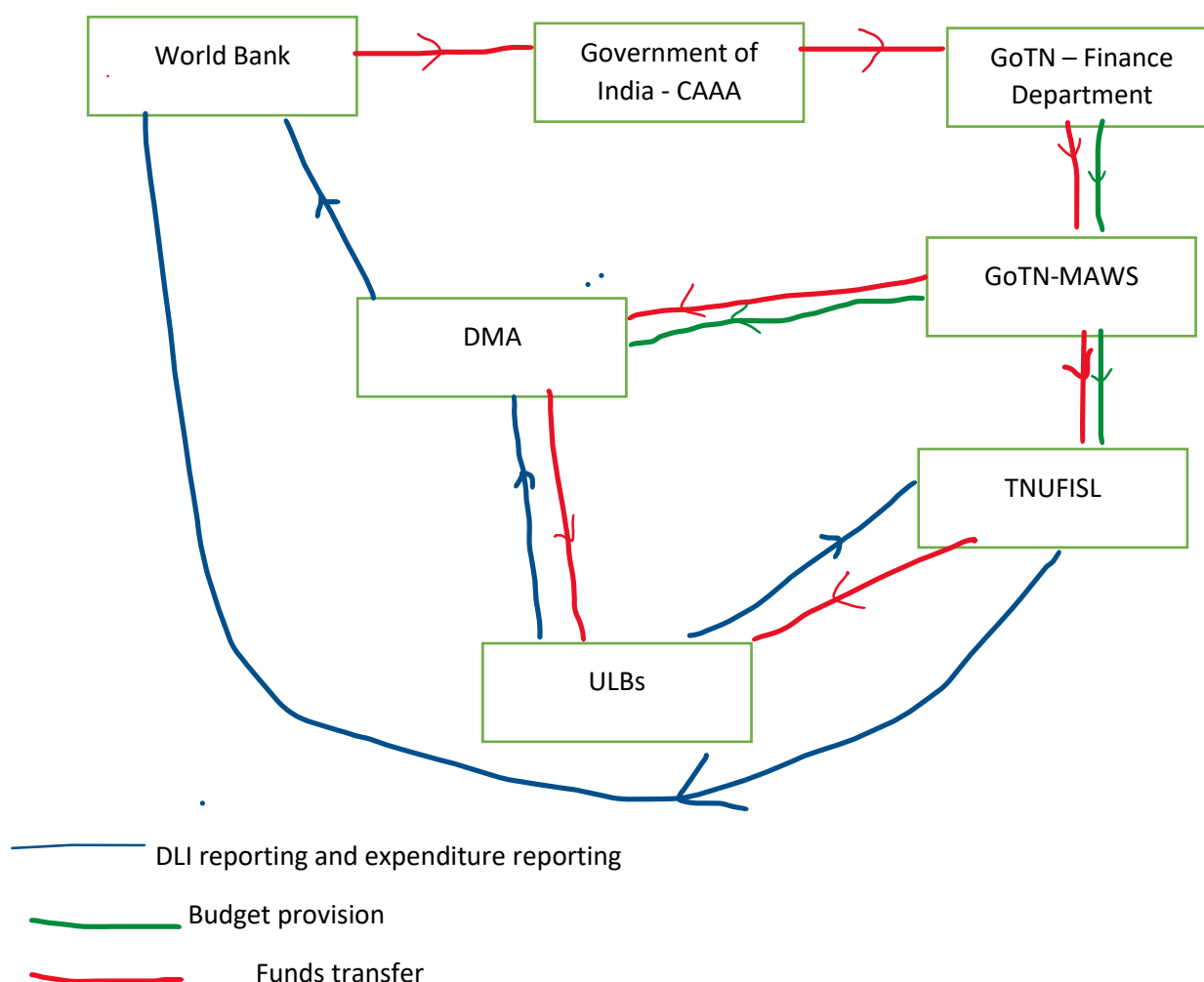
52. ***For DMA, a separate Program budget head would be created.*** This budget head will provide funds for a) transfers to the ULBs on successful completion of DLIs; and b) for items of expenditure to be incurred by the DMA office for achievement of DLIs. For institutional reforms DLI (RA-1), DMA will transfer funds to ULBs upon successful completion and verification of DLIs which will be grant to ULBs, and these amounts can be used by the ULBs for achieving DLIs under the Program as well as for meeting their share of the investments.

53. ***DMA in first year can provide advance to ULBs for achieving the DLIs.*** ULBs will incur expenditure and achieve the DLIs, based on which DMA can transfer the balance DLI amount to the ULBs. DMA has a designated DDO who can draw/transfer funds to the ULBs based on achievement of DLIs. In case of own expenditure, the office

of the DMA will use the state treasury system to make payments directly to the vendors. So, all program payments made at the office of the DMA will be available in the IFRHMS.

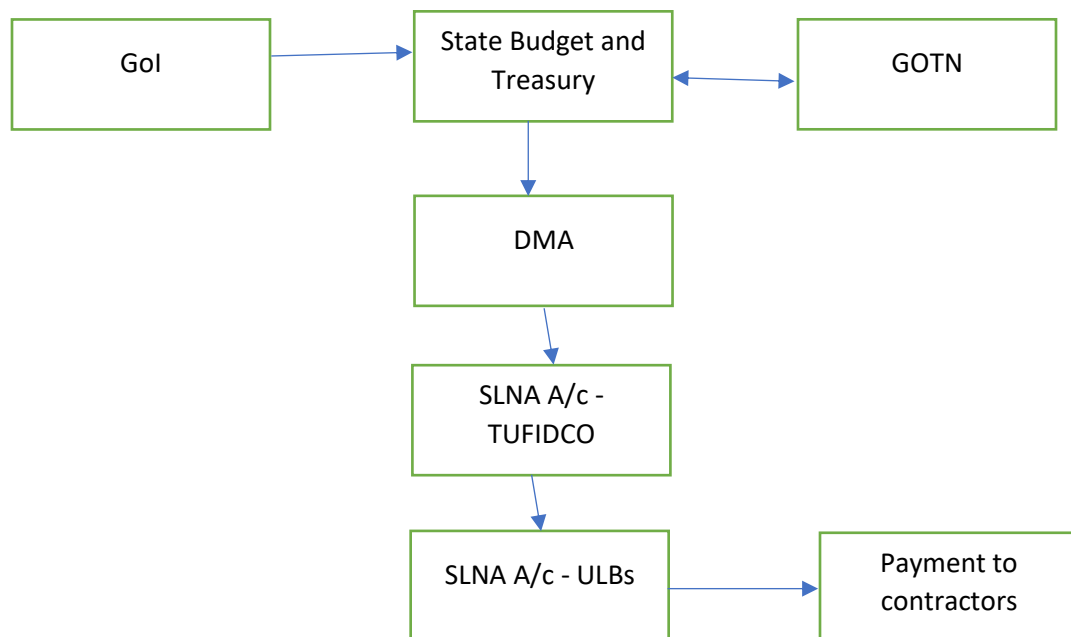
54. **TNUFSL already has a separate Program budget head.** It is a company which has its own legal existence and works outside the core government system. Once the budget is provided, TNUFSL can draw the amounts and transfer to PD A/c of the MD, which is an account kept in the treasury under the public deposits. As and when the amount is required by the company the funds are transferred from the PD A/C to the bank account of the company. A separate bank account will be maintained for the program as it is done for all other schemes. All payments will be done from the bank account, including transfers to the ULBs. Under Results Area-2, TNUFSL will transfer funds to ULBs as per progress of work in proportionate basis as well as for successful completion of DLIs.

Figure 8: Fund flow, Budget and DLI reporting



55. **ULBs will have a separate program bank account.** Funds received from DMA for DLI achievement and funds received from TNUIFSL will be maintained in two separate program bank accounts. All payments related to DLIs, and capital investments will be made from these bank accounts. Only in case of staff salaries all payments will be made through the general fund bank account which will be different from these bank accounts. ULBs also have access to the SLNA A/C through which AMRUT/SBM funds will be accessed and payments made. SLNA bank accounts is a noncash bank account with limits and hence the funds need to be maintained separately. ULBs should open the program bank accounts at the earliest and operationalise them.
56. **Some ULBs may request TWAD Board to execute the sub-project on its behalf.** In such cases TWAD Board will get the work done, raise the bills and provide it to ULBs who will make payments directly to the contractors. Any centage payable to the TWAD Board will be paid by the ULBs directly to the Board.
57. **There are three types of sub projects which will be funded under the program.** Sub projects funded under AMRUT with TUFIDCO as nodal agency; sub projects funded under SBM with DMA as nodal agency; and sub projects fully funded the state through TNUIFSL.
58. **Sub projects funded under AMRUT:** AMRUT is a Centrally Sponsored Scheme (CSS) under which funds are provided by the Government of India and State. Gol releases amount to the state in tranches based on milestones to be achieved. State provides matching share of funds. The funds are transferred to the State Level Nodal Agency (SLNA) bank account which is managed by TUFIDCO. The ULBs are provided access to the SLNA bank account and payments are made from the SLNA bank account. TNUIFSL will provide amount which will be maintained in separate bank account and reporting will be done on an overall basis for the sub project. Same vouchers and bills will be used for both payments and part payments made from the respective funds.
59. **Sub projects funded under SBM:** SBM is a Centrally Sponsored Scheme (CSS) under which funds are provided by the Government of India and State. Gol releases amount to the state in tranches based on milestones to be achieved. State provides matching share of funds. The funds are transferred to the SLNA bank account which is managed by DMA. The ULBs are provided access to the SLNA bank account and payments are made from the SLNA bank account. TNUIFSL will provide amount which will be maintained in separate bank account and reporting will be done on an overall basis for the sub project.
60. **Sub projects funded by state under EAP Projects:** These projects are fully funded by state and entire funds are provided by TNUIFSL to ULBs for which a separate bank account will be maintained and reporting to TNUIFSL will be done on an overall basis.

Figure 9: SLNA funds flow - AMRUT



61. **The following are the actions to be done:**

- a. Program bank accounts to be operationalised at ULBs and TNUIFSL

3.2.2 Accounting Systems and Financial Reporting

62. **Existing accounting system would be used for the Program.** DMA will use the IFHRMS system. Payments will be done through the GoTN Treasury, expenditures are recorded in the state treasury system, accounts will be maintained in the state treasury system, and reports can be drawn from the treasury system. Accounting is done on cash basis. DMA accounting will be done as part of the state treasury which is a computerized accounting system and will provide head wise, voucher wise, and month wise expenditure. Apart from the treasury records, office of the DMA maintains cash book, cheque issue register, and other basic records as prescribed by the state and excel sheets for ease of reporting.

63. **TNUIFSL follows Institute of Chartered Accountants of India (ICAI) accounting standards, double entry accrual-based accounting system and maintains accounts as per the Companies Act 2013.** Fund wise accounting/project wise accounting is being followed in the company. All expenditures, payments and accounting are centralized. TNUIFSL has Oracle based software for the company accounts, while Tally software is used for maintaining sub project accounts which is maintained on a proforma basis. Sub project accounts reflects the entire expenditure and voucher wise accounts are maintained in TNUIFSL. Similar arrangement would be made for this Program. Accounts has been closed for FY 22-23 and audit is expected to be completed before September 2023.

64. **ULBs follow the Tamil Nadu Municipal Accounting Manual which is double entry accrual-based accounting system.** The accounting manual prescribes accounting policies procedures and presentation of financial statements. ULBs have computerized accounting software (part of Urban Tree) which is online, and accounts are generated from the software. Most of the ULBs have completed the accounts for FY 22-23. Separate Program ledger will be maintained in the software for reporting on the Program. Details of payments done under the Program can be generated from the software. Also, the ULBs will report the entire expenditure on investments to TNUIFSL so that proforma accounts are maintained by them.
65. **ULBs payroll is computerized, payroll processing is done using the software and payments are done through Bank transfers directly.** The cost of payroll with all details are available from the system and can be used for reporting and auditing.
66. **The following are the actions to be done:**
 - a. Program accounting system to be operationalised at DMA, TNUIFSL and ULBs.

3.2.3 Procurement system analysis

67. **GoTN's Procurement Framework:** The Tamil Nadu Transparency in Tenders Act (TNTTA), 1998, Tamil Nadu Transparency in Tenders Rules (TNTTR), 2000, and Tamil Nadu Transparency in Tenders (Public Private Partnership Procurement) Rules, 2012, relevant amendments issued from time to time, and delegation of financial powers¹¹ constitutes the State's procurement framework. Chapter VI-A of Tamil Nadu Transparency in Tender Rules 2000 provides for purchase preference applicable to Domestic small-scale industrial unit in case of low value less than INR 2.5 million (~US\$ 30,487) for Works and INR 1 million (~US\$ 12,195) for other procurement categories- and local purchases, and spot purchases of certain commodities from public sector institutions.
68. **Procurement Manual:** The MAWSD has prepared an Engineering Manual in 2000 through TNUDP – II for urban local bodies as a day-to-day reference, particularly for the works. This manual requires upgrading, including changes in procurement, and contracting approaches in the previous two decades, including life-cycle costing, PPP contractual arrangements, and guideline for climate-resilient and green procurement practices.
69. **Procurement methods:** Open Tendering is the preferred procurement method used widely by all the Departments, including TNUIFSL. Other methods of procurement are single sourcing and spot purchase. In addition, single-envelope and two-envelope bidding provisions and a multi-stage procurement method are available. It is mandatory for Tenders of estimated cost INR 20 million (~US\$ 243,902) or less to have a minimum submission period of 15 days; above this threshold, the minimum period is 30 days.
70. **Standard Tender documents (STD):** GoTN has not prepared and disclosed a universal suite of Procurement documents/templates. In general, IAs have developed customised procurement documents aligned with the provisions of the TNTTA and TNTTR, and subsequent amendments. In these lines, the MAWSD prepared a customised tender document for the Works – admeasurement (item rate) contract. The ULBs are using this document. However, the MAWSD need to develop the standard procurement documents for design and build operate (DBO) / performance-based contracts that are unavailable.

¹¹ <http://www.tnmea.in/img/upload/G.O..No..158.Revision.of.Monetary.Limit.pdf>

71. *The following are the actions to be done:*

- a. As annex to the POM, prepare a detailed procurement guidance with procurement and contracting approaches akin to those envisaged through the Program.
- b. Develop the Standard Tender Documents with e-Procurement ready for particularly for the DBO and Performance-based works contracts on priority. Update the item-rate contract for e-procurement ready. Adopt them for the Program Procurement and revise them periodically.

3.2.4 e-Procurement

72. *e-Procurement Platform:* An e-publication of tenders is mandatory on the website¹² as per Tamil Nadu Transparency in Tenders Act 1998. However, IAs did not use an e-procurement system to receive bids and subsequent stages until the award and were using the manual process. Recently, the GoTN has mandated using an e-procurement platform¹³ from 1 Apr 2023¹⁴ above a low value threshold as per the TNTTA and TNTTR. The World Bank assessed TN's e-procurement platform for the adequacy of multilateral agencies and accepted it. Based on previous assessments of the system and its ongoing use under the IPF portfolio, this system is deemed acceptable for the current Program.

73. *Use of e-Government Marketplace (GeM):* GoTN have also entered MoU's with the Ministry of Commerce, Government of India which stipulates using the Government e-Marketplace (GeM) portal of central Government for procurement of Goods and Services which are available on the portal. It requires the Procuring Entities in the State to use Government e-Marketplace (GeM) portal for procurement of everyday use items and services available on GeM. In 2019, the World Bank team assessed the GeM portal and found it acceptable under Bank-financed projects up to a US\$ 100,000 monetary limit.

3.2.5 Procurement processes and procedures

74. *Publication of tender notice:* Tamil Nadu Transparency in Tenders Rules provides mandatory provisions for the publication of tender notices depending on the estimated cost. Publication of compulsory procurement opportunity in English Newspapers of national circulation for Goods, Services: INR 10 million (US\$ 121,951) and above and for Works: INR 50 million (~US\$ 609,756). In addition to publishing the tender notices in newspapers, all tender notices shall include the web address of a dedicated website. In the case of international competitive biddings, it would be open for the Tender Inviting Authority to give additional advertisements in other newspapers.

75. *Evaluation process:* Tamil Nadu Transparency in Tenders Rules require the prescription of the evaluation criteria upfront in the tender documents and advised to utilise the same criteria for evaluation and award recommendation. The Tender Scrutiny Committee or the officer evaluating the tender shall prepare a detailed evaluation report which the Tender Accepting Authority shall consider before taking a final decision on the tender. The evaluation report shall be prepared in the standardised format as prescribed. The tender

¹² <http://www.tenders.tn.gov.in/> The e-procurement platform to be used from 1 Apr 2023

¹³ <https://tntenders.gov.in/nicgep/app>

¹⁴ https://cms.tn.gov.in/sites/default/files/go/fin_e_94_2023.pdf

evaluation process shall be confidential until the award of the contract award and its notification. The negotiation is permitted under the TNTTA. The IA does not publish contract award notices on its website.

3.2.6 Contract management: Agency wise analysis

76. **Contract Management:** The TNTTR does not prescribe specific contractual terms and conditions or contract administration provisions. Hence it is expected that the contractual relationship between two parties shall be governed strictly in line with requirements agreed by the parties during the tender process and then incorporated into the resulting contract agreement.
77. **In the Measurement Book, the engineer-in-charge (Assistant/Junior Engineer records the completed work.** Then the Assistant / Executive Engineer verifies it based on the prescribed limits and approves the completed work for payment. The payment is processed through Bank checks (not electronic transfer), and the average payment period is around 30 days from the measurement date. However, the ULBs and IAs are not maintaining the payment period.
78. **Though limited in numbers, the ULBs have engineers (municipal engineers) to manage and implement contracts.** These contracts are small value, scattered in nature. The ULBs obtained advisory support from the TWAD board and Chennai Metro Water Corporation in a few contracts with high-value contracts. Based on the interactions with representative ULBs (Kancheepuram, Avadi, and Salem), the assessment infers that the ULBs require Project preparation and Implementation Support for high-value contracts with life cycle costing and performance-based contracts. The high value contracts are supervised by the PMC contractors.
79. **Executing Agency:** A participating ULB (Thoothukudi UGSS sub-project) is seeking Tendering and contract management support from the Tamil Nādu Water Supply and Drainage Board (TWAD) board by paying centage/service charges per the government norms. The TWAD Board is tendering and managing the awarded contracts. However, the contractual payments will be processed by the respective ULB after certification from the TWAD board. For this ULB or any other ULBs during the Program period, the TWAD Board shall use the tender documents provided by the TNUIFSL that include the Bank's ACG for PforR, reference to the Bank's debarment list and self-declaration form, definition of the Bank. The TWAD board will also designate a point of contact for submitting procurement-related complaints and report any complaints or high-value contracts during the Program period and procurement KPIs. The Program Audit (procurement part) also includes the contracts awarded by the TWAD Board. Based on the lesson learnt during the implementation of TNSDUP for using the TWAD Board as an executing agency, the memorandum of understanding between the ULB and TWAD board may be revisited to enhance the level of monitoring & coordination to minimize the cost and time overruns.
80. **Monitoring of Physical and Financial Progress:** DMA has developed an online MIS platform that tracks each procurement activity's physical and financial progress in the respective programs/schemes. DMA may consider the upgradation of the monitoring tools (excel / web-based software)_to derive useful KPI covering the entire procurement cycle.
81. **Procurement Contract Performance data:** The IAs do not maintain the procurement schedule linked with the annual workplan, budget (procurement plan) and utilise this data for deriving helpful key performance indicators (KPIs). In line with the PforR instrument and relying on the TN's procurement system, and

procedure, the IFSA has listed a few salient KPI in the previous section to measure the procurement performance.

82. **For assessment, five high value contracts were sampled from the TNSUDP.** The average estimate was INR 182.70 Crore (US \$ 22.28 m at INR 82 per US\$) and awarded the contract with an average 17 percent above the cost estimate. The average participation was 2.4 and the contracts were awarded with average procurement lead time of 139 days, which is good turnaround time for the ticket size sampled. These contracts were completed (fully /partially due to closure of TNSUDP) with substantial time overrun (6- 27 months) and reduction in the scope with cost underrun of 40%. The ULBs requires contract management and implementation support with appropriate monitoring mechanism.

83. **Procurement capacity and Lesson learnt from implementing series of projects in Urban sector financed by the World Bank, other multilateral financing institutions, and GoTN's budget.** TNUIFSL had an experience in implementing series of projects. Besides facilitating the procurement activities for the ULBs, procured in three years

Table 16 TNUIFSL's Procurement activities in previous three years

Description	Amount in INR (lakhs)					
	FY 20-21		FY 21-22		FY 22-23 (May 2023)	
	Numbers	Amount	Numbers	Amount	Numbers	Amount
Goods, including information technology	3	1728.50- @ GCC	-	-	1	4966.00# WRD
Works (including turnkey, supply & installation of plant and equipment, and PPP)	-	-	-	-	-	-
Consultancy Services	6	1233.18	8	479.22	8	741.43
Non-Consulting Services	-	-	-	-	-	-
Total	9	2961.68	8	479.22	9	5707.43

84. **TNUIFSL facilitated the following types of works contracts:**

1. Construction of STPs in DBO model with 5 years O&M
2. Hybrid document for Design Build for Tertiary Treatment Reverse Osmosis (TTRO) and item rate contract for supply of water.
3. Contract packaging is done based on the availability of the potential bidders.
4. Including longer O&M period of 15 years for STPs
5. Performance based contracts with KPIs.
6. Providing internal plumbing in sewerage schemes results in effective implementation.
7. Including O&M for WSIS & UGSS

85. **TNUIFSL procured consultancy contracts are:**

1. Feasibility Study for Reuse of Treated Used Water across Tamil Nadu
2. Feasibility Report & Transaction Advisory services for Restoration of Rivers.
3. Feasibility Report & Transaction Advisory services for Biomining of Kodungiyar Dump yard for GCC.
4. Preparation of Feasibility Report cum DPR for Rehabilitation of Defunct Dumping site at Erumapalayam in Salem Corporation
5. Preparation of Feasibility Report and DPR for construction of Bridges at various locations for Greater Chennai Corporation

86. ***Based on the interaction with the few ULBs (Kancheepuram, Avadi, and Salem), the participating ULBs are familiar in procurement and contract management of small value contracts (item rate / admeasurement) and consultancy contacts through the state agencies like TWAD Board / GCC. The engineers are managing the procurement. Need adequate number of staff deployed and trained.***

87. ***The following are the few lessons learnt based on the Post procurement review reports for TNSDUP and Draft Implementation Completion Report:***

- a. Requires strengthening of support to the ULBs in project preparation, procurement, contract management, operation & maintenance period.
- b. Enhanced and concurrent review & monitoring is required to ensure the nominal cost and time overruns, and resolution of the site-specific challenges.
- c. Build capacity for the staff articulating various stages of the implementation cycle and provide periodic training.
- d. Consolidate the lesson learnt from implementation of the DBO / Performance based contracts in the projects financed by multilateral banks and strengthen the GoTN's procurement and contract management system using the PforR instrument.

88. ***The following are the actions to be done:***

- a. PMUs to strengthen the procurement monitoring of activities undertaken by the ULBs. In addition to activity level physical and financial progress monitored through integrated MIS¹⁵, consider upgrading the MIS to include procurement KPIs for monitoring planning, tendering, evaluation, and award. Also, disclose the procurement plan and contract award details.

3.3 Internal Controls and Internal audit

89. ***Internal controls are being practiced and are included in the financial rules supplemented by defined delegation of financial powers.*** Oversight regarding compliance with internal controls is vested with the head of the Administrative Department and FD, and these are reviewed by the auditors during annual audits. Clear

¹⁵ <https://www.tnurbantree.tn.gov.in/urban-e-governance/>

delegation of powers exists which defines all activities. Regular reconciliations are carried out with the state treasury/bank account. In case of TNUIFSL since it is a company internal controls exist and are followed.

90. **Entity-level internal audits are not practiced in departments.** DMA does not have internal audits as it is a part of government department. TNUIFSL has started the practice of internal audit from FY 22-23. Internal audit is not envisaged as most of the program audit will be done by a CA firm both at state and ULB level.

3.4 External Audit

91. **The existing audit arrangements will be used for DMA and TNUIFSL.** The State Audit for FY21/22 has been completed and is available in the C&AG website. A consolidated audit report is issued by the C&AG for the state. DMA is a directorate under MAWSD, and so no separate audit report is issued. In case of TNUIFSL audit report has been completed for FY 21/22. TNUIFSL is audited by a CA firm.
92. **For DMA part of the Program, a separate audit report will be issued by the state office of the C&AG.** This audit will cover only the transfer of funds from DMA to ULBs and receipt of funds from the government. The C&AG needs to be entrusted the audit within six months from effectiveness of the Program.
93. **For the TNUIFSL part of the Program, a CA firm will be appointed as per agreed TOR and a separate program audit report will be issued by the firm.** This auditor will be separate from the entity auditor. This report will cover both the TNUIFSL part of the program and the sub projects expenditure at the ULB level. It will be a consolidated report including sub-project reports. This report will cover the entire amount received and spent by the ULBs from this Program.
94. **Annual Program audit report needs to be submitted within 9 months from end of the financial year by both DMA and TNUIFSL for their respective parts.** Auditor needs to be appointed within 6 months from program effectiveness and TOR will be agreed by appraisal. The DMA and TNUIFSL will finalise Terms of reference for Program Audit in consultation with the World Bank, prior to the negotiations.
95. **A separate audit will be carried out to cover the procurement and contract management aspects of the Program,** including the contracts awarded by the TWAD Board. While the same CA firm can be given the contract a separate terms of reference and reporting format will be agreed for procurement audit. The Program audit scope would include these specific points:
- a. review of contracts to ensure that contracts are not awarded to Bank's debarred/suspended entities and individuals.
 - b. verification on a sample basis of all contracts to ensure no High Value Contracts over the OPRC limits are funded under the program without approval.
 - c. complaints received were satisfactorily addressed in line with established procurement complaint handling system.
 - d. review and comment on adequate checks and balances are built into the procurement system and procedures are adhered.
96. **Program audit report needs to be disclosed on the implementing agencies website every year and cross referenced as required.** This is as per legal agreement and General Conditions of the Bank.

97. Following are the agreed actions:

- a. Appointment of CA firm for audit within six months of effectiveness.
- b. Entrust audit to C&AG within six months of effectiveness
- c. Develop the ToR both financial and procurement by negotiations
- d. Display the program audit report on the PMU website

98. Since this program has both PFR and IPF components the following table clarifies the audit reports needed.

Table 17: List of audit reports

Implementing Agency	Instrument	Type of statement	Audited by	Period	Submission
DMA	PFR	Program Financial Statements	C&AG	Annually	Within 9 months from end of FY
TNUIFSL	PFR	Program Financial Statements	CA	Annually	Within 9 months from end of FY
ULB – sub projects (combined with TNUIFSL above)	PFR	Program Financial Statements	CA	Annually	Within 9 months from end of FY
ULB – sub projects	PFR	Procurement audit	CA	Annually	Within 9 months from end of FY
DMA	IPF-TA	Project Financial Statements	C&AG	Annually	Within 9 months from end of FY
TNUIFSL	IPF-TA	Project Financial Statements	CA	Annually	Within 9 months from end of FY

3.5 Procurement and Financial Management Capacity – Staffing

99. Procurement Capacity: In the absence of a dedicated cadre, the municipal engineers, with the help of the Tamil Nadu Water Supply and Drainage (TWAD) Board / Chennai Metropolitan Water Supply and Sewerage

Board (CMWSSB), prepare the DPR, articulate the procurement process, and manage the contacts with the support of supervision consultants. In Kanchipuram ULB, 10 engineers (1 Superintending engineer and Four Assistant / Junior Engineer, including Electrical and Draughtsmen, and 5 Technical Assistants) are managing the works as against 27. A DLI is included in the Program to increase the overall staffing at ULB level, which may add a few more staff to this cadre as well. The ULBs have reasonable procurement capacity to procure works like traditional admeasurement contracts. The ULBs also procure everyday off-the-shelf goods from GeM. The services, mainly preparation of the DPR, are procured based on a fixed percentage of the estimated cost. In addition, a few consultancies with strategic and policy advice will be procured by the DMA and TNUIFSL consultancy services by following the Bank's procurement regulations. The TNUIFSL has experience in selecting and employing consultancies by following the Bank's procurement and consultant guidelines, which require migration to Procurement Regulations (a new regime from 1 Jul 2016). Considering these varied capacities in procurement categories and across the IAs, the MAWSD may develop a need-based procurement capacity development plan and provide training to the staff at all levels to build the procurement capacity.

100. ***DMA finance is headed by a Finance Controller who is posted from the Government.*** The finance controller handles the budget and accounts for the department as well as for the Program. For the Program while staff are available in government, but they are overburdened with many schemes and to day-to-day activities. A dedicated program management unit is being setup in the Directorate and two FM staff with qualifications of M. Com / MBA Finance / CA (Inter) or CMA with minimum 2 years' experience in Finance & Accounts as well as exposure to Tally will be appointed.
101. ***TNUIFSL finance is headed by a Senior Vice President - Finance and Company Secretary who is supported by an accounts team.*** TNUIFSL also have regular FM staff, but they are overburdened with many schemes and to day-to-day activities. Four FM staff with qualifications of M. Com / MBA Finance / CA (Inter) or CMA with minimum 2 years' experience in Finance & Accounts as well as exposure to Tally will be appointed. Two of them will work with the finance department and two of them will work with the projects department.
102. ***The Program can hire staff from the market on a contractual basis as required and the cost can be charged to the Program.*** These staff should be hired within three months of effectiveness. For FM, staff who are currently available training on accounting for program expenditure, DLI disbursements, and other FM requirements will be carried out once the program is effective.
103. ***Following are the agreed actions:***
 - a. Ensure each of the IA have required FM and Procurement staff who have received training and are well versed with the procurement and contract management aspects.
 - b. Staff to be hired/nominated within three months of effectiveness.
 - c. Nodal officers for Procurement and FM to be nominated at DMA and TNUIFSL
 - d. Develop a need-based fiduciary capacity development action plan and update periodically.

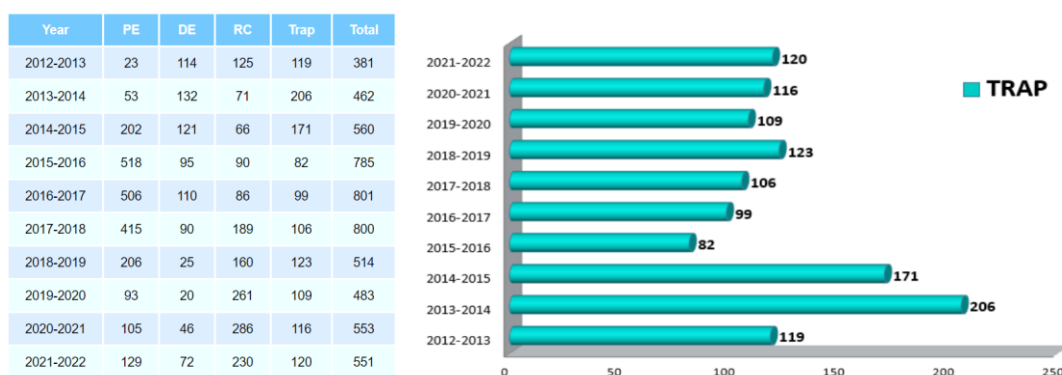
3.6 Program Governance and Anticorruption Arrangements

104. ***The Tamil Nadu Lokayukta office derives its power from, The Tamil Nadu Lokayukta Act, 2018.*** It enquires into allegations of corruption against certain public servants and for matters connected in addition

to that or incidental to that. Any person can make a complaint in the office of Lokayukta. The Inquiry Wing of Lokayukta enjoys the power of a civil court under the Code of Civil Procedure, 1908. It can issue summons, and warrants, take evidence on affidavits, and issue commissions to examine the witnesses and documents. Any proceeding before the Lokayukta shall be deemed to be a judicial proceeding within the meaning of section 193 of the Indian Penal Code.

105. **Directorate of Vigilance & Anti-Corruption (DVAC), GoTN, undertakes enquiries/investigations into complaints/information about specific acts of bribery, corruption, or other malpractices by the state public servants.** DVAC comes under the administrative control of the Personnel and Administrative Reforms Department and the overall supervision of the Vigilance Commission. DVAC has its prosecution wing for the speedy trial of cases registered under the PC Act. The Government has established special courts and empowered Judicial Magistrates to deal with cases arising under the Prevention of Corruption Act (PC Act). Here is a performance chart Directorate of Vigilance and Anti-corruption, GoTN.

Figure 10: DPAC enquiry status



PE= Preliminary enquiry, DE=Detailed Enquiry, RC=Regular Case (Source: <https://www.dvac.tn.gov.in/stat-invtrap.html>)

106. **At the state level, the DVAC will be responsible for investigations.** Tamil Nadu Lokayukta also receives and conducts enquiries into corruption allegations against certain public servants. The procurement related complaints will be mixed along with other complaints/Grievances and processed by using administrative procedure. Hence, it would be challenging to identify the procurement related complaints and providing resolution in a timely manner. Tamil Nadu's procurement framework (TNTT Act and Rules) does not include the Bank's five definitions of fraud and corruption. IAs to include a reference to the Bank's ACG for PforR in the tender/proposal document and resultant contracts. The 'Appeal' section 11 in the TNTTA describes about the receipt and resolution of procurement related complaints. However, the TNTTR does not provide detailed procedure and customised tender document does not include a point of contact to receive procurement-related complaints, if any.
107. **At the Program level, the IAs will be responsible for investigations of procurement-related complaints.** Given the multiple agencies, IAs will establish a dedicated complaint handling mechanism for Program (PAP). **The WB "Guidelines on Preventing and Combating Fraud and Corruption in Program for Results Financing"**

dated February 1, 2012, and revised on July 10, 2015, shall apply to all activities within the Program Boundary, including activities undertaken through the TWAD Board. These guidelines shall be applicable only to all activities within the Program boundary (“P”) and does not apply to government program (‘p’). The procurement-related centralized fiduciary complaint handling mechanism to receive complaints and clearly defined rules and authorities to resolve/process the complaint/suggestions. The POM provides the details of streamlining the complaint handling system for the Program including reporting formats. A workshop to sensitize on applicability of anti-corruption guidelines and protocol to be followed will be organized as part of the project launch. An ACG Protocol has been drafted to operationalize the ACGs and it is being discussed with the government and added as annexure 1.

108. *The IAs, including TWAD Board will share incidences related to fraud and corruption with World Bank.*

If the World Bank determines to conduct an administrative review into allegations or other indications of fraud and corruption in the Program, PMU will cooperate fully with representatives of the World Bank for carrying out review. The Implementing Agencies shall acknowledge and consent to the Borrower’s right of restitution of any amounts disbursed under the program with respect to which fraud and corruption has occurred, or with which an ineligible expenditure, has been paid.

109. *Implementing agencies shall implement their respective activities under the Program, in compliance with the Anti-Corruption Guidelines for the Program and ensure following actions:*

- a. Ensure each of the procurement entity shall ensure incorporation of the Bank’s debarment list¹⁶ in the tender documents and filter used by implementing entities when they conduct due diligence.
- b. For every bidding opportunity under the Program, each participating bidder shall submit (as part of the bidding process) a self-declaration to be included in STD that the firm is not subject to ineligibility or has not been sanctioned under the World Bank system of debarment and cross-debarment.
- c. IAs shall add to scope of Auditor to validate that, under Program Expenditure Framework, no contract is awarded to World Bank debarred firms.

110. *Following are the agreed actions:*

- a. IAs establish fiduciary complaint redressal system and ACG reports using the formats provided in the POM as per agreed timelines.

3.7 Disbursement Arrangements

111. *The DLIs form the basis of disbursement of funds for the Program.* PAD provides details on the DLIs, disbursement amounts against each indicator, and the protocols for their verification. Disbursements will be made against successful achievements of DLIs which will be verified by the IVA.

112. *Disbursements will be made against DLI irrespective of the program expenditure incurred at the time of releasing the DLIs.* It is important to note that the actual expenditure at Program completion would be

¹⁶ <https://www.worldbank.org/en/projects-operations/procurement/debarred-firms>

reconciled with disbursements at the end of the Program. Any amount disbursed by the Bank more than the actual expenditures spent under the Bank Program will be refunded to the Bank.

113. ***The key principles guiding the World Bank disbursement of DLIs are as follows:***

- a. DMA/TNUIFSL will prepare technical reports to document the status of achievement of DLIs. The technical reports will be verified by an IVA, appointed as per terms of reference agreed with the World Bank. On validation of DLIs by an IVA, the PMU will communicate the achievement of DLIs and corresponding DLI values to the World Bank along with supporting documents.
- b. In case, the IA is unable to achieve the DLI target set out in any year, it will be rolled over for future years till such time the DLI target is achieved.
- c. In the case of non-scalable DLIs, the World Bank will disburse the DLI value only upon full achievement of the DLI target.
- d. In the case of scalable DLIs, if partially achieved, the World Bank may authorize withdrawal of an amount lesser than the DLI value allocated to the said DLI target. The remaining amount of the DLI will be disbursed once the DLI target value is fully achieved.
- e. In case the IA is unable to achieve the DLI target (scalable or non-scalable), the World Bank may reallocate the proceeds of the Loan to another DLI, in consultation with the state.
- f. The World Bank will issue an official letter to the IA endorsing the achievement of the DLI target and value.
- g. The IA will submit the disbursement claim of the DLI value to the Controller Aid, Accounts and Audits (CAAA) Division of the Ministry of Finance in the Gol.
- h. The CAAA will submit the disbursement claim to the World Bank and the funds will be disbursed by the World Bank to the Gol under IBRD loan terms. The Gol will release funds to the state as per agreed financing norms between the Centre and the state.

114. ***The procedure for claiming the Disbursement linked results are as follows:***

- a. Step 1: Once the results are achieved, the agency provides a letter/mail to IVA stating that the results have been achieved along with the documentation for achievement of results.
- b. Step 2: IVA will conduct the verification as per the agreed protocol and prepare a DLR wise report stating their opinion on achievement and the amount of DLI which could be released.
- c. Step 3: Submit the report along with Disbursement Linked Results (DLR) achievement letter to the Bank Task team leader (TTL) for review and confirmation.
- d. Step 4: Once the TTL reviews and confirms the achievement of the DLR, a formal letter accepting the result and approval for withdrawal of disbursement will be issued to Department of Economic Affairs and the Program implementing agency.
- e. Step 5: On receipt of the letter the Program implementing agency can prefer a withdrawal with the office of the CAAA.
- f. Step 6: CAAA will lodge a claim with the Bank loans disbursal office and payment would be processed by the Bank to the CAAA

- g. Step 7: CAAA on receipt of funds will work with the department of expenditure and ensure that funds are transferred to the state as Additional Central Assistance release. The fund would be transferred from Gol account to the GoTN account, and the process of disbursement would be completed.

115. ***In the last year of the Program, the IA in coordination with the World Bank, will reconcile the audited program expenditure with the DLI amounts disbursed by the World Bank.*** If the Borrower has failed to provide evidence satisfactory to the Bank that the disbursed amount does not exceed the total amount of Program Expenditures, the Bank will request a refund equivalent to such excess amount.

3.8 Implementation Support

116. ***The mission would review the agreed fiduciary actions and related PAPs provided in the PAD during every mission and agree on an action plan based on the work done by the project.*** Continuous support would be given to the client for implementing actions/PAP. The mission would review implementation progress report on a timely basis and monitor the finding of the audit report on a regular basis. The mission would review the fiduciary risk including relevant legal covenants. The mission would also review the program expenditure on a regular basis.
117. ***The WB task team will carry out regular implementation mission to support the IA to achieve results.*** The progress on agreed PAPs will be reviewed and any changes to the action plan will be made during the implementation phase. The PMU will regularly share (KPI) reports with the Bank to monitor the FM and procurement performance, and fraud and corruption risks, identify gaps, and recommend actions. These reports will be reviewed, and issues identified will be addressed appropriately.

3.9 Key Performance Indicators

118. ***The team will monitor the following performance indicators:***

Table 18: Performance Metrics

Area	Indicator	Calculation methodology	Timeline
Procurement ¹⁷ Adequate monitoring of the procurement activities at all levels (for PforR) ¹⁸	1. Procurement Cycle Time – Measured in days	Time taken from Date of Advertisement to Date of Contract Signing	Semi-Annually or during ISM, whichever occurs earlier
	2. Competition of bidders measured in numbers and price measured in percentage	Average number of bidders and average discovered price below/above the estimated cost	
	3. Time overrun - number of contracts and average percentage of delays	Time exceeded in comparison to original closing date	
	4. Cost overrun - number of contracts and average percentage of variance.	Cost/Savings in comparison to original contract value	
	5. Average payment period – number of days and percentage over the stipulated payment period.	Time taken from date of acceptance of bill to payment to contractors	
Adequate monitoring of FM activities	6. Budget allocation as per annual work plan	Variance of budget allocation with budget demand of agencies for the Program	Semi-Annually or during ISM, whichever occurs earlier
	7. Release of funds on timely basis	Funds released from GoTN to the agencies	
	8. Accounting system operational	Systems are operational and program expenditure reports are updated on monthly basis within 15 days from month end	
	9. Payments done on timely basis	Time taken for payment is as per agreed schedule	

¹⁷ For the Top 15 procurement activities (highest contract award amount / estimated cost) covering all procurement categories (Works/Goods/Consultancy/Non-consultancy services).

¹⁸ The above indicators will be consolidated based on the data from ULBs, DMA, TNUIFSL and reported (in agreed format) with the World Bank Semi-Annually during the Program life. The first semi-annual report will be considered as baseline If baseline details are not available in the procurement performance historical data.

Area	Indicator	Calculation methodology	Timeline
	10. Audits completed on timely basis	Audit reports submitted to the Bank as per agreed schedule	Annually
Adequate monitoring of Fraud & Corruption activities:	11. Reports submitted on receipt and action taken on Fraud and Corruption complaints	Number of complaints received and addressed with timelines	Semi-Annually or during ISM, whichever occurs earlier
	12. Number of procurement-related complaints and average resolution time	Number of complaints received and addressed with timelines	

The Procurement related KPIs may be utilised for the preparation of the ULB level Procurement Performance Report (a Performance Indicator in DLI -4).

3.10 Action Plan

119. *Following are the actions to strengthen the Program during implementation:*

Table 19: Action Plan

S. No.	Action Description	Document	Responsibility	Timing	Completion Measurement
1	Issue Program G.O.	Legal/PAP	GoTN	Within four months of effectiveness	GO Issued
2	Create budget heads.	Budget document	GoTN	Negotiations	Budget head created
3	Strengthen staffing and fiduciary capacity of the PMUs and PIUs	Legal	DMA,TNUIFSL	Within six months from effectiveness	Staff appointed and trained
4	Disclose the Program audit report	Legal	DMA,TNUIFSL	Every year within nine months of end of FY	Audit report completed and displayed on the website
5	Appoint External auditor for the Program	PAP	DMA,TNUIFSL	Within six months from effectiveness and periods as per the IFSA.	Appoint an auditor to conduct audits (including procurement audit) and submit the reports to the Bank
6	Monitor to track high value	Legal	DMA,TNUIFSL in	Within six months from	Utilize appropriate monitoring tools covering

S. No.	Action Description	Document	Responsibility	Timing	Completion Measurement
	contracts and screen the contracts for Bank's debarment list before initiation procurement and awarding.		consultation with ULBs	effectiveness	the entire procurement cycle and submit six monthly reports (format in the POM)
7	Integrate the preparation of the Procurement Plan to the existing web-based MIS.	PAP	DMA and TNUIFSL, in consultation with ULBs	Within a year of effectiveness and disclose Procurement Information annually/when updated	PP preparation is integrated with the MIS, monitored through the KPIs (refer to following para for KPIs), and disclose the procurement information related to bidding and contract award on the IAs.
8	Establish a complaint Handling mechanism (CHM) at agencies to manage Program related fiduciary complaints	PAP	DMA,TNUIFSL, ,in coordination with participating ULBs	Within three months from effectiveness and semi-annually	Establish a CHM and display the nodal officer for receiving the complaint on the official website. Submit Semi-annual reports using the formats provided in the POM
9	Develop detailed procurement guidance as an Annex to the POM considering the changes in procurement and contracting approaches including life-cycle costing, DBO, PBC contractual arrangements, and climate-resilient and green procurement	Reform	DMA	Within six months from effectiveness	Detailed procurement guidance is developed as an Annex to the POM

S. No.	Action Description	Document	Responsibility	Timing	Completion Measurement
	practices ¹⁹				
10	Develop the Standard Tender Documents (STD) ²⁰ for Design Build Operate (DBO) / PBC, besides updating the admeasurement / item-rate contract with e-procurement usage ready	PAP	DMA	Within six months from effectiveness and update periodically	STDs for (DBO/PBC) are developed and e-procurement ready; The item rate tender is updated and e-procurement ready; These STDs are adopted for Program Procurement and revised periodically

120. **For Annex 6 Program Action Plan, Serial Number 7,9 and 10 are combined as single PAP Action (Procurement).**

Table 20: Procurement PAP

Action Description	Source	DLI#	Responsibility	Timing	Completion Measurement	Action Description
Establish a complaint Handling mechanism (CHM) at implementing agencies to handle Program related fiduciary complaints	Fiduciary Systems	NA	DMA/TNUIFSL in coordination with ULBs	Other	Within three months from effectiveness and semi Annually	Established functional CHM and displayed contact of nodal officer on the official website for receiving complaints. Submitted semi-annual reports using the formats provided in the POM.
Strengthen procurement	Fiduciary Systems	NA	DMA	Other	(a) Within a year from	(a) PP is integrated with MIS and

¹⁹ Appending the guidance and lesson learnt on the sustainable / green procurement in the second year of the Program.

²⁰ A DLR action in the PforR Operation Chennai City Partnership: Sustainable Urban Services Program (P175221)

IAS are advised to check with TNIDB, adopt the STDs that suit to the Program's contractual practices and develop the remaining STDs

and contract management by (a) integrating the Procurement Plan for the Program to MIS; and (b) developing Standard Tender Documents and guidance for the Program					effectiveness and disclose procurement information annually; (b) within six months from effectiveness and update periodically.	monitored through KPIs (see IFSA). Procurement information and contract award details are disclosed; (b) STDs are developed and adopted for the Program's procurement; detailed guidance is included as an annex in POM.
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121. **List of ULBs who are participating in the Program are as follows:**

Table 21: List of ULBs

SN.	ULB	Administrative Status	Year of formation/upgradation	Area in Sq.km	Last accounts in website	Last audit report in website
1	Avadi	Municipal Corporation	1970 as Municipality 2008 as Special Grade Municipality 2019 as Corporation	65.00	FY21-22	FY21-22
2	Kancheepuram	Municipal Corporation	1866 as Municipality 2008 as Special Grade Municipality 2021 as Corporation	36.14	FY22-23	FY21-22
3	Cuddalore	Municipal Corporation	1866 as Municipality 2008 as Special Grade Municipality 2021 as Corporation	27.69	FY19-20	FY17-18
4	Dindigul	Municipal Corporation	1866 as Municipality 1988 as Special Grade Municipality 2014 as Corporation	14.01	FY22-23	FY20-21
5	Erode	Municipal Corporation	1871 as Municipality 1980 as Special Grade Municipality 2008 as Corporation	109.52	FY21-22	FY20-21
6	Nagercoil	Municipal Corporation	1920 as Municipality 1988 as Special Grade Municipality	24.25	FY21-22	FY20-21

IFSA – Tamil Nadu Climate Resilient Urban Development Program (P179189)

SN.	ULB	Administrative Status	Year of formation/upgradation	Area in Sq.km	Last accounts in website	Last audit report in website
			2019 as Corporation			
7	Salem	Municipal Corporation	1866 as Municipality 1979 as Special Grade Municipality 1994 as Corporation	91.34	FY18-19	FY17-18
8	Tambaram	Municipal Corporation	1964 as Municipality 2008 as Special Grade Municipality 2021 as Corporation	87.64	FY22-23	FY21-22
9	Thoothukudi	Municipal Corporation	1866 as Municipality 2008 as Corporation	90.63	FY21-22	FY20-21
10	Tiruchirappalli	Municipal Corporation	1866 as Municipality 1994 as Corporation	167.20	NA	FY17-18
11	Tirunelveli	Municipal Corporation	1866 as Municipality 1994 as Corporation	108.65	FY21-22	FY18-19
12	Vellore	Municipal Corporation	1866 as Municipality 2008 as Corporation	87.92	FY22-23	FY20-21
13	Dharmapuri	Municipality	1964 as Municipality 2019 as Special Grade Municipality	11.65	FY22-23	FY21-22
14	Karaikudi	Municipality	1928 as Municipality 2013 as Special Grade Municipality	13.75	FY22-23	FY21-22
15	Krishnagiri	Municipality	1965 as Municipality 2019 as Special Grade Municipality	11.50	FY21-22	FY20-21
16	Namakkal	Municipality	1970 as Municipality 2021 as Special Grade Municipality	55.24	FY21-22	FY21-22
17	Pudukottai	Municipality	1912 as Municipality 1988 as Selection Grade Municipality	21.95	FY22-23	FY21-22
18	Rajapalayam	Municipality	1941 as Municipality 2008 as Special Grade Municipality	11.36	FY21-22	FY21-22
19	Theni-Allinagaram	Municipality	1964 as Municipality 2023 as Special Grade Municipality	22.23	FY21-22	FY21-22
20	Thiruvannamalai	Municipality	1896 as Municipality 2008 as Special Grade Municipality	13.64	FY21-22	FY21-22
21	Tiruvarur	Municipality	1914 as Municipality 2023 as Selection Grade Municipality	10.47	FY22-23	FY21-22
				1081.78		

Section 4. IPF assessment

122. ***IPF Component to Finance Technical Assistance (TA) activities: [US\$30 million of which US\$20.25 million is IBRD Loan].*** The main objectives of this component are to: (i) provide technical support for program implementation; and (ii) provide other systemic technical assistance for urban sector and ULBs in TN. This TA will have two sub-components that would be implemented through the office of the DMA and TNUIFSL and the main TA activities are as listed in the table below. Both these main implementing agencies were involved in earlier Bank-financed projects and are familiar with Bank policies / procedures.

4.1 Financial Management for IPF component

123. ***A designated PMU will be responsible in the DMA to execute the TA component.*** A budget head for TA component will be created for office of the DMA based on which expenditure will be incurred. Payments will be done through the GoTN Treasury, expenditures are recorded in the state treasury system, accounts will be maintained in the state treasury system, and reports can be drawn from the treasury system. Accounting is done on cash basis. A project cash book will be maintained at the DMA office. Quarterly IUFR will be submitted within 45 days from end of the quarter based on which disbursements will be done by the Bank for the TA component. Audit of the expenditure under the sub-component at DMA will be done by the C&AG and a separate report will be shared with the Bank within nine months from close of the quarter. IUFR format will be finalised by negotiations.
124. ***A designated PMU will be responsible in the TNUIFSL to execute the TA component.*** A budget head has already been created for TNUIFSL and budget allocation has already been made. TNUIFSL has access to budget and amounts can be transferred to the Personal Deposit Account (PD A/C) of the MD initially as and when required and then the funds are transferred to the bank account of the Company. For approved TA activities, expenditure will be incurred by TNUIFSL, and all payments are made to the vendors using the project bank account. Accounts will be maintained using a commercial off the shelf accounting software. The internal control framework and practices in TNUIFSL are robust, supported by a standardized framework and effective compliance. Internal audit is carried out by a firm of Chartered Accountants. Quarterly IUFR will be submitted within 45 days from end of the quarter based on which disbursements will be done by the Bank for the TA component. Audit of the expenditure under this sub-component at TNUIFSL will be done by the CA firm and a separate report will be shared with the Bank within nine months from close of the quarter. IUFR format will be finalised by negotiations.
125. ***Disbursements will be made at the rate of 67.5 percent for the TA component.*** 2 omnibus disbursement categories will be designed one for office of the DMA and one for TNUIFSL as follows:

Table 22: Disbursement categories

Category	Amount in US million	Disbursement % (inclusive of taxes)
(1) Goods, Consultancies, Non-Consulting, IOC, training, and workshops for office of the DMA	10.125	67.5%
(2) Goods, Consultancies, Non-Consulting, IOC, training, and workshops for TNUIFSL	10.125	67.5%

126. ***The amount and the date of retroactive financing will be from March 1, 2023 and amount is JPY 610,275,600.*** Retroactive financing will be available:

- (a) for payments that are made by the Borrower not more than 12 months before the expected date of the signing of the legal agreements for the Bank
- (b) procurement has been done in accordance with the applicable Bank procurement regulations,
- (c) activities are related to the project and has been agreed with the Bank

4.2 Procurement for IPF Component

127. ***Applicable Procurement Framework:*** The PMUs (DMA and TNUIFSL) follows the World Bank's Procurement Regulations for IPF Borrowers dated September 2023 (Procurement Regulations) for the procurement of goods, non-consultancy services, and services (excluding Works) activities envisaged under the TA component. In addition, the Guidelines on Preventing and Combating Fraud and Corruption in Projects Financed by IBRD Loans and IDA Credits and Grants, revised July 1, 2016, and the provisions agreed in the Financing Agreement are applicable.

128. ***Project Procurement Strategy for Development (PPSD) and Procurement Plan (PP):*** The TNUIFSL prepared the consolidated PPSP with a focus on key procurement activities (TA). The Bank reviewed and uploaded it to the STEP Portal. The PPSP does not anticipate any major risks from the operation context. Also, the procurement opportunities may elicit adequate participation and no market risk foreseen. However, the DMA and TNUIFSL need a smooth transition from the procurement guidelines regime to the procurement regulations. Till the completion of key procurement activities, the PMUs require dedicated procurement staff assigned to the TNCRUDP considering the staff turnover or staff posted with multiple projects financed by other development partners. Also, training in Bank's procurement regulations is required for the team members managing the procurement and contract management directly or indirectly throughout the procurement cycle. The DMA and TNUIFSL need to strengthen the procurement monitoring mechanism to manage the consultancies awarded on behalf of the ULBs. Most envisaged consultancies will be procured using open competitive procurement targeting the national market.

129. **Procurement Arrangements:** The initial PP also prescribes the agreed procurement arrangements for the IPF component. The prior review, conducting the post review, disclosure of the procurement-related information, and complaint handling are as per the applicable Procurement Regulations. National competition for the procurement of goods, works, and non-consulting services according to the established thresholds will be conducted in accordance with paragraphs 5.3–5.6 of Section V of the Procurement Regulations and the NCP provisions agreed with Gol. Government e-Marketplace (GeM) will be allowed instead of RFQ for all activities with cost estimates less than or equal to US\$ 100,000 equivalent. Shortlisting with national consultants is up to US\$ 2 million, and up to this threshold, the Direct RFP for the selection of consultancies is permitted (India-specific provision). E-Procurement: GoTN uses the NIC²¹ E-Government Procurement (E-GP) platform. The Bank assessed the NIC E-GP platform and accepted it. Record keeping and anti-corruption measures will be as per IPF general conditions. After the Bank reviews the PPSD and agrees to the initial PP, the PMU uploads these documents to the World Bank’s Systematic Tracking of Exchanges in Procurement (STEP) and updates the PP in line with the requirements of procurement regulations. The Bank provided training to registered users with STEP and oriented the staff on procurement regulations and preparation of the PPSD.
130. **Advance procurement and retroactive financing:** The Borrower may wish to proceed with the procurement process before signing the Legal Agreement. The eventual contracts shall be procured in accordance with advance contracting and retroactive financing (Para 5.1 of the Procurement Regulations).
131. **Under TA for TNCRUDP, the Bank is to consider financing an activity procured in the TNSUDP.** The TA also include a prior review procurement activity²² notified with an award of contract through TNSUDP will be financed under TNCRUDP. The Bank reviewed key stages until the award notification and accorded No Objection. The TNUIFSL uploaded relevant documents per the STEP roadmap. As of date, TNUIFSL notified the contract award on 13 Mar 2023 before the closure of the TNSUDP (31 Mar 2023). This contract management of this activity will be managed under TNCRUDP STEP Portal.
132. **Procurement risk assessment:** The Bank undertook a procurement capacity assessment of the PMUs, and the residual procurement risk is ‘Moderate’. The Bank will assess and update the risk periodically. The initial PP prescribes the prior review thresholds based on this risk at this stage.

²¹ <https://tntenders.gov.in/nicgep/app>

²² Setting up of Real-Time Data Acquisition System, Hydro Modelling Flood Control Room at Ezhilagam and Flood Monitoring Centres for Water Resources Department Headquarters at Chepauk and four Collectorates (IN-TNUIFSL-298576-GO-RFB) with a contract amount of INR 763,891,408 (US\$ 9,315,749 at 82 INR = 1 US\$)

Annexure-1: ANTI-CORRUPTION GUIDELINES PROTOCOL

Pursuant to Section 5.13 of the General Conditions: (i) as defined and incorporated by reference in the Loan Agreement for the financing of the “Tamil Nadu Climate Resilient Urban Development Program (TNCRUDP)” (the “Program”), to be entered between India (the “Borrower”) and the International Bank for Reconstruction and Development (the “Bank”); and also (ii) incorporated by reference in the Program Agreement for the Program, to be entered between the Bank and the GoTN (“Program Implementing Entity”), the Borrower and the Program Implementing Entity shall ensure that the Program is carried out in accordance with the provisions of the Bank’s “Guidelines on Preventing and Combating Fraud and Corruption in Program-for-Results Financing”, dated February 1, 2012 and revised on July 10, 2015²³ (variously, the “Anti-Corruption Guidelines” or “ACG”). Set out below are the supplementary protocols to be followed in implementing the Anti-Corruption Guidelines for the Program.

1. Borrower Arrangements.

- a) The office of the DMA and TNUIFSL will be the GoTN’s focal offices for facilitating coordination among relevant agencies and assessing the implementation of such ongoing actions by those agencies to ensure that the Program activities are implemented in accordance with the provisions of the ACG and these protocols.
- b) As there is no distinction between Bank-financed activities and government-financed activities within the Program, the ACG shall be applied in an unrestricted manner on all activities within the Program boundary.

2. Reporting.

- a) For purposes of Section 6 of the ACG, DMA and TNUIFSL will collect, consolidate and provide the Bank, on a half yearly basis, with a report on: (1) any material and credible allegations and other indications of fraud and corruption under the Program that come to the attention of during such period, including those reported under the Whistle Blowers Protection Act (2014); (2) any investigations into such allegations; and (3) the progress of and outcomes from such investigations and any remedial or corrective actions taken or planned in response to such allegations or the findings of such investigations.
- b) It will also report therein that none of the contract awards under the Program are made to any of the Bank debarred or suspended persons or entities.
- c) A template for reporting under paragraph 2. (a) above is attached to this Protocol as Appendix-A.
- d) Where such allegations might constitute a serious risk to the implementation of the Program, the reputation of the Borrower or the Bank, or to the proper use of the proceeds of the Loan, DMA and TNUIFSL will immediately inform the Bank.

²³ <https://policies.worldbank.org/en/policies/all/ppfdetail/3682>

- e) For purposes of Section 7(a) of the ACG, the Bank will, consistent with its policies and procedures, inform DMA and TNUIFSL of any material and credible allegations or other indications of fraud and corruption in connection with the Program that may come to its attention, for investigation by the Borrower under the relevant criminal and civil laws.

3. Conduct of Investigations and Inquiries.

- a) For purpose of Section 6(d) of the ACG, DMA and TNUIFSL will ensure the timely and appropriate action to get investigation conducted on allegation and indications of fraud and corruption; and inform the Bank of its progress and findings at quarterly intervals and no later than one month after the conclusion of any investigation,
- b) For purposes of Sections 6(f) and 7(b) of the ACG, in the event that the Bank decides to conduct its own inquiry into allegations or other indications of fraud and corruption in connection with the Program, the Borrower, the Program Implementing Entity, and other entities implementing the Program will cooperate fully with the Bank's representatives and take all appropriate measures to ensure the full cooperation of relevant persons and entities, including in each case, allowing the Bank to access sites and facilities, meet with relevant persons and/or entities, and to inspect all of their relevant accounts, records, and other documents and have them audited by, or on behalf of, the Bank.
- c) Any inquiries undertaken by the Bank are administrative in nature. The Bank's right to investigate or conduct review does not extend to criminal investigations, which is the exclusive jurisdiction of the Borrower. The World Bank may, however, sanction any individual or entity other than the Member Country (as defined in the ACG) on its own pursuant to its prevailing policies and procedures.

4. Suspension and Debarment.

- a) The Borrower and the Program Implementation Entity will ensure that any person or entity debarred or suspended by the Bank is not awarded a contract under, or otherwise allowed to participate in or benefit from, the Program during the period of such debarment or suspension by the Bank. To that end, the Borrower and the Program Implementation Entity will put in place appropriate measures, including but not limited to the following:
 - (i) Bidding documents will include information regarding the applicability of the ACG to the Program, and exclusion of any debarred or suspended person or entity from a contract under or participation in the Program.
 - (ii) the Bank's listing of debarred or suspended persons or entities will be incorporated in the filter used by implementing agencies when they conduct due diligence.
 - (iii) each participating bidder will be required to submit a self-declaration that the firm is not subject to ineligibility or has not been sanctioned under the Bank system of debarment and cross-debarment.

- b) Compliance with the Bank's suspension and debarment lists will be verified by the Program auditor as part of its annual audit of the Program's Financial Statements. If a person or entity suspended or debarred by the Bank has been awarded a contract under, or has otherwise benefited or participated in the Program, any proceeds of the Loan expended in relation to such person or entity will be considered ineligible and promptly refunded to the Bank or, at the Bank's discretion, reallocated to other eligible expenditures. The Borrower shall take timely and appropriate action to exclude such person or entity from the Program.
- c) Specific procedures for implementation of the Anti-Corruption Guidelines, including these protocols, will be set out in the Program Operations Manual for the Program.

APPENDIX-A**ANTI-CORRUPTION: COMPLAINTS HANDLING REPORT**

(Reporting Period: dd/mm/yyyy to dd/mm/yyyy)

(Date of Reporting)

1. Credible and Material Allegations of Fraud and Corruption under the Program

S. No	Complaint Summary	Complaint Date	Who received the complaint	Manners of complaint submission	Status	
					Interim Action	Final Action taken
				(e.g., phone, e-mail, writing, verbal)		

2. Suspension and Debarment.

This is to confirm that none of the contract awards under the Program are made to any of the Bank debarred or suspended persons or entities.